Black Belt Banking: Emancipation and the Geography of Southern Credit

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Abstract

Antebellum Southern credit relied on enslaved people as collateral, an arrangement emancipation ended in 1865. We show that emancipation reversed financial development for a century and a half. In a county panel of Confederate states from 1820 to 2024, a one-standard-deviation higher 1860 slave share predicts 64 percent more banks before emancipation but 51 percent fewer afterward, and 31 percent fewer still today. Regulations lowering bank capital requirements increased bank entry, but branching deregulation did not eliminate the gap. A modern-day movers design shows that living in these counties changes credit access, but not credit risk.

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1 Introduction

There is a strip of counties curving across the Deep South that does not resemble the counties around it. Its people are poorer than their neighbors, most of its residents are Black, and it has fewer banks. The counties vote Democratic even as the counties on every side vote Republican. The strip, known as the Black Belt, follows a band of fertile soil formed from Cretaceous chalk. Eighty million years ago, the area was a shallow sea whose plankton settled into a band of chalk along the coast. When the water receded, that chalk weathered into a crescent of dark, fertile soil about three hundred miles long. In the nineteenth century, that soil produced the South's best cotton, and the cotton economy made these counties the places with the largest enslaved populations in 1860. They had the most banks before the Civil War and have not rebuilt comparable local banking markets since.

Still today, across the eleven states of the former Confederacy, counties with a one-standard-deviation higher 1860 slave share have about 31 percent fewer banks, conditional on the 1860 county economy. The difference in banking supply that opened at emancipation is among the most durable features of Southern economic geography. The Black Belt is the clearest case, but not the only one. The Delta of northwest Mississippi had the same concentration of cotton and slavery on river-laid alluvium rather than Cretaceous chalk.

The origin of the difference in banking supply lies in how antebellum credit was financed. Enslaved people were a preferred form of loan collateral, liquid and movable in ways land was not (Martin 2010; Kilbourne 1995). The wealth planters held in enslaved people also supported bank deposits, bank equity, and their standing as borrowers (Murphy 2023). Even where land rather than enslaved people secured a loan (Narayanan and Pritchett 2025), farm values depended on slave-based production. Emancipation ended lenders' legal claims on enslaved people, and agricultural land lost value most where slavery had been concentrated. The local wealth available to support lending and bank formation contracted at the same time.

We find that the wealth supporting local credit contracted more after emancipation in counties with larger slave shares. We measure the contraction using Census records for white adults aged 20 and older in counties observed in both 1860 and 1870. Counties with a one-standard-deviation higher 1860 slave share, about 21 percentage points, had a 30 percent larger decline in total reported wealth between the two Censuses after we absorb state-specific changes. The Census asked each person to report real estate and personal estate separately, and personal estate in 1860 included the value assigned to enslaved people. Emancipation ended a category of property that had supplied both wealth and loan collateral. Reported real-estate-based wealth also declined, so the contraction reached property that remained

legally ownable and continued to serve as collateral. The result was nearly identical when the 1870 total included all adults rather than only white adults, indicating that the decline was not a transfer of reported wealth from white households to freedpeople.

We show that emancipation reversed the relationship between slave share and local banking. Before emancipation, counties with larger slave shares had more state-chartered banks, consistent with slavery supplying the wealth and the loan collateral that local lending required. A one-standard-deviation increase in slave share in a county corresponded to about 64 percent more state-chartered banks before emancipation. After emancipation, the same increase corresponded to *51 percent fewer* state-chartered banks than the prewar relationship would predict. Federal charters were available from 1863 and might have replaced the state-chartered banks these counties lost. They did not. The probability that a county had a national bank was about 13 percentage points lower per standard deviation of slave share. A persistent difference in geography, culture, or human capital would predict the same relationship before and after emancipation, but the reversal begins with emancipation and remains for the following century and a half.

We assemble a county panel of banking activity for the 997 counties of the eleven former Confederate states, covering 1820 through 2024. The main design is a continuous difference-in-differences that measures the change in bank formation within counties after emancipation relative to prewar banking, with the post-1865 change varying with the 1860 slave share. The panel combines records for state-chartered banks, national bank call reports, historical bank directories, and modern branch and deposit records. We digitize twenty-three editions of the Rand McNally Bankers' Directory covering 1879 through 1921. The directory is the only source that names each bank's charter type, so it bridges the state-chartered records that end at the Civil War and the federal records that begin after it. We include the same set of pre-emancipation county controls as Acharya et al. (2016), including population, farm values, land inequality, farm structure, the free Black population share, rail and water access, county area, terrain, latitude, and longitude. We also use consumer credit files that track adults who move between Southern counties from 2004 through 2020 to identify effects in the modern era.

Besides emancipation, there are other possible explanations for the difference in banking supply across the South. The first is that the war itself destroyed the banks. Sherman's March to the Sea in 1864 was one of the most destructive campaigns against civilians during the Civil War. The army continued into the Carolinas in 1865, destroying railroads, farms, and towns along a route mapped county by county from an 1865 War Department map. The route crosses counties with high and low slave shares alike, so it separates the two explanations: destruction varies across the corridor boundary and slavery varies along it. If

destruction drove the difference, the decline in the number of banks should be larger inside the corridor and should not track the slave share outside it. Neither holds. Counties with a one-standard-deviation higher slave share had about 28 percent fewer banks in the 1920s outside the corridor, and the difference remained negative in every postwar decade through the 1920s. The additional difference inside the corridor was no larger after the march than before it. Physical destruction along the route does not explain why counties with higher slave shares had fewer banks across the South.

We next test whether a later loss of agricultural wealth also reduced the number of banks. In 1892, the boll weevil entered the United States near Brownsville, Texas, and spread through the Cotton South, damaging cotton crops as it reached each county. Upon arrival, it reduced cotton production, acreage, and yields, and lowered the value of cotton land pledged for farm loans (Ager et al. 2017; Lange et al. 2009). We use the staggered arrival in a difference-in-differences design that follows the number of banks before and after the weevil reached each county compared to counties the insect had not reached. Five to nine years after arrival, counties with high cotton and slave shares had about 23 percent fewer banks, and about 38 percent fewer state-chartered banks. Two explanations fit that decline. The weevil destroyed the collateral value of the cotton crop, or the shock landed on counties that had already lost their asset base at emancipation. Sugar counties provide the comparison that separates them. They had the same concentration of slavery and the same plantation agriculture, and the boll weevil did not damage sugar cane. High-slavery sugar counties show no decline after arrival, so what reduced the number of banks was the loss of the specific crop that secured local loans, and not something common to high-slavery counties. Unlike the persistent reduction in the number of banks in high-slavery counties, the effect of the boll weevil is temporary. The number of banks returns to its pre-arrival level within fifteen years. Collateral losses reduce bank formation in this region, and a loss that repriced an asset was temporary where the loss that removed an asset class was not.

If the shortage of local capital after emancipation is what held bank formation down, then lowering the capital a bank needed should have produced the most new banks where that shortage was deepest. The Gold Standard Act of 1900 provides that test. We use a triple-difference design around the Act, which lowered the minimum paid-in capital for a national bank from $50,000 to $25,000 for towns with no more than 3,000 residents. National bank formation should increase most after 1900 in high-slavery counties whose towns became eligible for the lower capital requirement. For a one-standard-deviation increase in slave share, national bank formation increased by about 42 percent more after 1900 in eligible small-town counties than in counties with larger towns. Reported national bank capital increased by about 33 percent and reported assets by about 43 percent. Banks chartered by

states, whose capital requirements the Act did not change, show no similar change in their number. Entry responded most where the statute lowered the price of entry and the loss of slave wealth had been largest, which is what a capital shortage predicts and what a shortage of demand for banking services does not.

The difference in banking supply accumulated because banks did not open, not because they closed. New banks were about 28 percent less likely to open in high-slavery counties between 1864 and 1899, about 41 percent less likely between 1900 and 1932, and about 29 percent less likely between 1988 and 2024. Banks closed or left at about the same rate in the first two periods and about 12 percent less often in high-slavery counties after 1988. A century and a half of lower entry, with no offsetting exit, produced the difference that remains today.

Two later developments could have produced the same difference without any role for collateral. The Great Migration removed a large share of the Black population from these counties after 1915, which could have taken with it the customer base a local bank requires. And the institutions that carried the postwar racial order, if they persisted where slavery had been densest, could have suppressed lending on their own. Neither explains the timing. The difference in banking supply appears by the 1880s, three decades before mass outmigration begins, and it remains after we control for county Black outmigration rates. It also remains after we control for Confederate memorials, United Daughters of the Confederacy chapters, Klan presence, and lynchings, though from the 1920s onward the difference is larger where more of these institutions are recorded.

Branching reform was meant to let banks expand into markets they could not previously enter, and entry was expected to follow. It did not follow here. Intrastate reforms allowed existing banks to open branches across their home states, and interstate reforms later allowed them to cross state lines. After intrastate reform, counties with a one-standard-deviation higher slave share had about 7 percent fewer banks relative to the difference before reform. After interstate reform, the same increase in slave share corresponded to less than a 1 percent increase in the number of banks in a county with the average 1960 number of banks. The difference in banking supply persisted through both reforms. Reform did not create the local wealth a new bank needs to be capitalized.

The difference in banking supply persists into the present, and the credit people hold differs across these counties today. We track adults who move from one county to another and estimate the changes in their credit reports around the move. Person effects hold everything permanent about the borrower fixed, so what remains is the effect of the destination. Movers take on 14 to 25 percent of the difference between destination and origin counties in credit limits, open and newly opened credit lines, mortgage holding, and auto-loan holding, in

whichever direction they move. Credit scores do not adjust toward the destination, so what the county changes is the credit people are supplied and not the credit they qualify for.

Our paper contributes to three literatures. First, we add local banking to research on the long-run consequences of slavery. Prior work relates the 1860 slave economy to political attitudes (Acharya, Blackwell, and Sen 2016) and to racial inequality and education (Bertocchi and Dimico 2014); related work connects Africa's slave trades to long-run income and trust (Nunn 2008; Nunn and Wantchekon 2011). We show that counties where slaveholding was most concentrated developed fewer banks after emancipation and remained financially distinct over the following century and a half. This finding provides a place-based counterpart to Ager, Boustan, and Eriksson (2021), who show that white slaveholding families recovered their relative economic position within one or two generations. The recovery of individual families did not restore the local asset base needed to support a larger banking market. The closest study of credit is González, Marshall, and Naidu (2017), who show that slave wealth supported business credit in Civil War Maryland and that this advantage ended after emancipation. We connect the same loss of collateral to local banking structure and its persistence.

Second, we show that the average effects of bank deregulation conceal differences across markets. Branching deregulation increased growth and reduced inequality on average (Jayaratne and Strahan 1996; Beck et al. 2010; Rice and Strahan 2010). What deregulation did to a county's banking market depended on how much banking that county already had. Neither intrastate nor interstate reform narrowed the difference in branches or deposits across counties with different slave shares, and after interstate reform new branch openings were fewer in high-slavery counties that had more banks in 1960. The consequences of deregulation varied with the market structure inherited from emancipation.

Third, we provide a historical source of persistent geographic differences in banking and credit supply (Nguyen 2019; Bakker et al. 2025). This mechanism complements research on racial discrimination in credit markets (Bartlett et al. 2022; Butler et al. 2023; Butler and Butler 2026) because it operates through the structure of the market in which borrowers live. The mover design separates the role of place from permanent differences across residents. Consistent with Keys et al. (2023) and Bakker et al. (2025), moving in adulthood does not lower credit scores, but it does change the quantity and composition of credit held by the same person.

The paper proceeds as follows. Section 2 describes antebellum Southern credit and the chartering rules that governed bank formation before and after the Civil War. Section 3 describes the county panel and the sources behind it. Section 4 sets out the estimating equations. Section 5 presents the results. It begins with the reversal at emancipation and

the wealth losses behind it, then turns to the three historical events that test it. It closes with the alternative explanations, then modern banking markets, the county economies these markets sit in, and the credit files of people who move between counties. Section 6 concludes.

2 Institutional Background

Before emancipation, enslaved people and land supported borrowing and bank capital. This section describes that asset base, how state and national charters differed, and why emancipation changed the assets available to both borrowers and banks.

2.1 Slave Wealth, Credit, and Emancipation

Before emancipation, Southern law treated enslaved people as property. Slaveholders could pledge them in mortgages and notes, and lenders accepted those claims because they could be transferred without moving the farm. That transferability made enslaved people useful collateral throughout plantation districts (Martin 2010; Kilbourne 1995). Slave wealth also supported planters' deposits, purchases of bank equity, and standing as borrowers (Murphy 2023). Banks and cotton factors extended credit against wealth tied to slave-based production.

Land was also a common form of loan collateral, but it did not separate credit from slavery. Plantation land derived part of its value from production using enslaved labor (Narayanan and Pritchett 2025). A loan secured by land could lose value after emancipation even when no enslaved person appeared in the loan contract.

Emancipation freed nearly four million people and ended their legal treatment as property (Ransom and Sutch 2001). Creditors could no longer enforce claims on enslaved people as security. Slaveholders therefore lost borrowing capacity, and banks and their shareholders lost access to collateral, deposits, and wealth that had supported bank capital. The loss was not confined to loans secured directly by people, because agricultural land also lost value where its value had depended on slave-based production. These changes left fewer assets behind both existing banks and potential new bank founders.

2.2 Bank Chartering Before and After the Civil War

Before the Civil War, state governments issued charters that allowed banks to accept deposits, make loans, and issue banknotes under rules that varied across states. Banknotes were promises issued by banks that circulated as money and could be redeemed by their holders. The National Banking Acts of 1863 and 1864 created a federal system by authorizing

the Office of the Comptroller of the Currency (OCC) to issue national charters. National bank founders had to contribute paid-in capital, with the minimum tied to the population of the place in which the bank opened, and federal rules governed the issue of national banknotes. A national bank could open only after its founders had assembled the required capital (Jaremski 2013).

3 Data Sources and Sample Construction

We build one county-year panel covering the eleven former Confederate states from 1820 through 2024. The unit of observation is the county on 2022 Census boundaries. Conditioning on the controls of Acharya et al. (2016) reduces our sample by about 3 percent, to 997 counties.

3.1 Treatment and Controls

The 1860 slave share is the share of a county's population held in slavery in 1860, taken with the 1860 controls from Acharya et al. (2016). We standardize it on the sample, where its mean is 0.346 and its standard deviation is 0.213. Every coefficient on the slave share is therefore the change implied by a one-standard-deviation increase, about 21 percentage points. Where we divide counties into groups, we use the sample median of 0.328. Figure 1 maps the share across the sample. The largest shares run in a band from the Carolina coast through central Alabama and up the Mississippi River.

[Insert Figure 1 Here]

Fourteen county characteristics measured in 1860 enter every specification. They are land area, latitude and longitude and their squares, terrain ruggedness, land inequality, and the small-farm share. They also include population, farm value per acre, improved acreage, the free Black population share, and indicators for a railroad and for navigable water. They come from Acharya et al. (2016).

3.2 Banking Data and Outcomes

No single archive counts banks across two centuries, so the count series changes source by era and we state the universe each time. From 1820 through 1860 we use the Weber censuses of state-chartered banks, which were the only banks in the South before Congress created national charters (Jaremski 2013). From 1863 through 1933 we use the annual records of the

OCC. These cover nationally chartered banks, about a quarter of all banks in the region. From 1934 we use the Federal Deposit Insurance Corporation (FDIC), which covers insured banks, nearly all banks from 1934 onward, and counts each one in the county holding its headquarters.

The counts pass two external checks. The OCC records give 3,842 banks in 1900 compared to a historical figure near 3,730. The insurance records give 13,853 in 1934 compared to about 14,150 insured. The count moves from 5,597 in 1933 to 13,853 in 1934 because the universe changes from national charters to all insured banks rather than because banks appear. Three features of the coverage set the windows we use. The panel holds no observations for 1861 or 1862. For 1864 through 1878 the only available source counts national charters, so the all-charter measure resumes in 1879. A branch-level count begins in 1987, where the modern analysis starts.

For the years between the state and federal series we transcribe the Rand McNally bankers' directories. These list every commercial bank by town and name its charter. Our transcription covers 23 edition years from 1879 through 1921 and is the paper's own data contribution. It is also the only source that identifies charter type, which the charter-specific results require. We exclude clearing houses and private bankers, as well as the 1905, 1915, 1917, and 1918 editions, whose transcriptions are incomplete compared to the federal records. Dropping them moves the pooled result in the third decimal.

The mix of charter types varies with the slave share, so we report banking results on both series. Nationally chartered banks are a smaller share of all banks in counties with higher slave shares. A series counting only national charters omits proportionally more banks in those counties. On identical years, counties, and specifications, the national series overstates the postwar difference in banking supply by about two fifths relative to the all-charter series.

The OCC records also identify each national bank's first and last observed year in the county of its headquarters, which we use to measure entry and departure. A bank present in the final year of a source has no observed departure and is not counted as an exit.

Total assets, deposits, loans, and capital come from the same two archives as the counts and carry the same universe by era. All dollar figures are nominal, with no price adjustment anywhere in the paper.

For 1987 through 2024 we use the FDIC Summary of Deposits (SOD), which reports every branch of every insured institution. From it we measure the number of institutions with at least one branch in a county, the number of branches, and total branch deposits. We also measure the deposit Herfindahl–Hirschman index across institutions, which is higher where deposits are held by fewer banks. Our last measure is the distance in miles from the county's 2020 population centroid to the nearest branch. Branch coordinates are geocoded

for 57 percent of branches in 1987 and for all of them from 2014. The same source records whether an insured institution begins or ends branch operations in a county. The series starts in 1987 with institutions already operating, so we count arrivals from 1988 and do not count institutions present in 2024 as departures.

3.3 Wealth, Land Values, and Historical Shocks

We use the IPUMS USA full-count population Censuses for 1860 and 1870 to measure reported wealth before and after emancipation. The Census recorded real estate in both years and personal estate in both years for the free population. Personal estate includes stocks, bonds, notes, livestock, and other personal property; in 1860 it also includes enslaved people. The 1870 instructions to enumerators excluded clothing and any case where total personal property was worth less than $100, and the 1860 instructions carried neither exception. Adults reporting under $100 of personal estate fall from about 576,000 in 1860 to about 79,000 in 1870, and those holdings are about 0.3 percent of reported personal estate in 1860. The change in instructions affects the number of people reporting personal property rather than the totals we use. Real estate carries no comparable change in definition. We restrict both years to white adults aged 20 and older, the residents most likely to hold property that could secure a loan. The dollar values are contemporary nominal amounts.

County boundaries changed between the two Censuses, so we intersect the National Historical Geographic Information System (NHGIS) county polygons and combine counties into units covering the same ground in both years. The analysis contains 668 units representing 765 counties as enumerated in 1860, and no unit crosses a state line. We aggregate the person records directly to these units. Total reported wealth is real estate plus personal estate. The slave share is aggregated from the county measure using 1860 population weights and keeps the paper's standardization.

Farm value per acre is the Census value of farm land and buildings divided by farm acreage, from the agricultural Censuses of 1850 through 2012. Cotton intensity is measured in the 1900 agricultural Census, and we call a county high-cotton if it lies above the median among cotton-growing counties. A county is a sugar county if it produced cane sugar in 1860. The boll weevil's arrival year in each county is the mapped date of the United States Department of Agriculture, recorded for 800 of the 997 sample counties and running from 1892 through 1922. Town size in 1900 comes from the full-count Census, which places each county in a band by its largest place; the Gold Standard Act design uses the band below 2,500 residents and the band from 4,000 to 9,999. The Sherman corridor indicator marks the counties on the recorded route of the 1864 and 1865 march, from Feigenbaum et al.

(2022), with the endpoint cities excluded. It marks 57 of the 305 counties of Georgia and the Carolinas.

3.4 Persistence and Deregulation Measures

Three county measures enter only the persistence and modern sections. Net Black outmigration is the negative of the county's net Black migration rate from Derenoncourt (2022). The rate is the net migration of Black residents over a decade as a share of the county's Black population at the decade's start, and it exists for the 1940s, 1950s, and 1960s. The Confederate culture index of Bazzi et al. (2023) counts four county institutions, so it runs from zero to four. The institutions are a Confederate memorial, a United Daughters of the Confederacy chapter by 1900, a chapter of the second Ku Klux Klan, and a recorded lynching of a Black person after 1900. Log 1960 banks is the log of the county's number of insured banks in 1960 and is defined for the 920 counties with at least one bank that year. A state's intrastate deregulation year is the year it permitted statewide branching through merger and acquisition, from Jayaratne and Strahan (1996); nine of the eleven states switch between 1978 and 1994, and North Carolina and South Carolina permitted statewide branching throughout. A state's interstate deregulation year is the first year it maintains at most one of the four restrictions on interstate branching of Rice and Strahan (2010).

3.5 Consumer Credit Records and Movers

The household analysis uses an anonymized annual panel of consumer credit files from 2004 through 2020, holding about three million people per year. Each record carries a stable person identifier, birth year, ZIP code, a credit score, and measures of credit limits, open and newly opened credit lines, and inquiries. We map ZIP codes to counties with a population-weighted crosswalk, keep adults aged 18 and older, drop deceased records, and recode the default values that stand for the absence of a credit line. The outcomes fall in three groups. The first is the amount of credit: total and bankcard credit limits, revolving credit, mortgage and non-mortgage credit, and auto credit. The second is its composition: open credit lines, lines opened in the last twelve months, credit-union lines, and indicators for holding a bankcard, a mortgage, or an auto loan. The third is measured credit risk: the credit score and credit inquiries in the last twelve months. The mortgage analysis also uses the county Zillow Home Value Index averaged over 2004 to 2020, which separates differences in mortgage credit from differences in local house values.

A mover changes counties exactly once in the panel, with one origin county, one destination county, and no return. The national panel holds 470,162 movers. The Southern sample

holds 110,376 whose origin and destination both lie in the eleven states and both have a slave share. Of these, 19,062 move from a low-slavery county to a high-slavery county and 17,005 move the other way. Because credit-file addresses update with a lag, we drop the observations immediately before and during the recorded move.

3.6 Sample and Summary Statistics

Historical county-years with no observed bank are assigned a count of zero. Table 1 reports summary statistics for the full sample and for high- and low-slavery counties. Median household income and college attainment are similar across the two groups in 2019. High-slavery counties have smaller populations and a Black population share more than three times as large. Branches per county are also lower in high-slavery counties from 1990 through 2024.

[Insert Table 1 Here]

4 Identification Strategy

There are two challenges to identifying the effect of losing slave collateral on local banking structure. First, the 1860 slave share is a county characteristic rather than a policy. The same soil and geography that made slavery profitable may have supported banking directly. Counties with the largest enslaved populations had the region's most fertile land, densest rail and river access, and largest towns, each of which supported banking directly. Second, the wealth held in enslaved people and the banks that lent against it were built together, so a cross-county relationship in a single year cannot establish which came first.

We address the first challenge with our cross-sectional specifications. We study the relationship between the 1860 slave share and local banking structure within each era, conditioning on fourteen county characteristics measured in 1860. These characteristics describe the prewar foundations of banking, including terrain, land inequality, farm structure, population, farm values, improved acreage, and transport access. State fixed effects absorb permanent differences across states where the sample permits, and year effects absorb conditions common to a year. The controls hold fixed the observed foundations of banking, and the 1860 slave share measures the amount of slave collateral at stake.

For the second challenge, we follow one series of state-chartered banks across emancipation. County fixed effects measure changes relative to each county's own prewar banking, and year effects absorb changes common to all counties. Emancipation came through federal action in 1865 rather than through local credit conditions. The main specification uses the 1860 slave share as the county's predetermined exposure to that legal change. All counties

faced the same loss of legal claims on enslaved people, but counties with higher slave shares had more slave collateral at stake. The specification tests whether they experienced the larger decline in state-chartered banking after emancipation. The positive and stable prewar relationship across four decades, the absence of prewar separation in farm values, and the postwar break in banking support this interpretation.

Three additional historical events provide further tests of the same mechanism. Their timing or legal terms were set outside the county, and their effects should differ according to pre-existing county characteristics. Sherman's March supplies a difference-in-differences test of physical destruction, using the recorded corridor and the prewar decades. The boll weevil's staggered arrival supplies a difference-in-differences test of agricultural collateral loss, using county arrival and counties the insect had not reached. The Gold Standard Act supplies a triple-difference test of entry costs, using time, town-size eligibility, and the 1860 slave share. The corridor difference is not larger after Sherman's March and is already present in the prewar decades. Boll-weevil arrival has near-zero pre-arrival coefficients, reduces banking in high-cotton, high-slavery counties but not high-slavery sugar counties, and affects state-chartered rather than national banks. The Gold Standard Act produces its largest increase in national bank entry in high-slavery counties whose towns became eligible for the lower capital requirement, with no similar change in state-chartered banks.

We finally separate person effects from place effects with a mover design that tracks the same adults before and after they cross county lines (Finkelstein et al. 2016). Person fixed effects hold permanent borrower characteristics fixed, and nonmovers provide the destination-origin benchmark. The identifying assumption is that permanent borrower characteristics remain fixed, with selective moves as the main limitation.

Before 1987, the first year covered by the SOD, 57 percent of county-year observations record zero banks. For the number of banks, we use Poisson pseudo-maximum likelihood, which models the outcome in levels and retains zero outcomes (Cohn et al. 2022). For binary outcomes, such as whether a county has any bank, we use ordinary least squares in a linear probability model. Standard errors are clustered at the county level throughout, except in the wealth specifications, where they are clustered at the geographic unit, and in the mover specifications, where the clustering is stated below.[1]

[1]Poisson coefficients are reported as $e^{\beta} - 1$, the implied percentage change, so a table entry of -0.233 is a decline of 23.3 percent. Linear probability coefficients are changes in probability.

4.1 Cross-Sectional Relationships

For a single era, we estimate the cross-sectional Poisson specification

$$E\big[Y_{ct} \mid Z_c, X_c, \mu_s, \lambda_t\big] = \exp(\beta Z_c + X_c'\Gamma + \mu_s + \lambda_t)\,, \tag{1}$$

where c indexes the county, t the year, and s the state. Y_{ct} is a banking outcome, Z_c is the standardized 1860 slave share, and X_c holds the fourteen 1860 characteristics. These characteristics hold fixed the terrain, land quality, farm structure, population, and transport access that support banking directly. The year effects λ_t absorb conditions common to a year and the state effects μ_s absorb permanent state differences. The relationship is identified from counties in the same state and year. The prewar state-charter panel carries year effects alone, because adding state effects drops 147 counties whose outcome the fixed effects predict perfectly.

4.2 The Break at Emancipation

We also estimate a continuous difference-in-differences specification that measures changes within each county,

$$E\big[Y_{ct} \mid c, t\big] = \exp(\alpha_c + \lambda_t + \beta Z_c Post_t + X_c'\Gamma Post_t)\,, \tag{2}$$

on one continuous count of state-chartered banks spanning the war, where α_c absorbs permanent county differences and $Post_t$ equals one after 1865. The fourteen 1860 characteristics enter as products with $Post_t$, so the characteristics that predicted where banks stood in 1860 may predict different postwar changes. The coefficient β is the change at emancipation in the relationship between the slave share and the number of state-chartered banks.

The specification identifies that change if, absent emancipation, counties with different 1860 slave shares would have continued to differ in state-chartered banking as they did before the war, after allowing the 1860 characteristics to have different postwar coefficients. Three pieces of evidence support this interpretation, and Section 5 reports each of them. The relationship between the slave share and the number of banks is positive and stable across the four prewar decades, so nothing in the prewar record anticipates the postwar reversal. Farm value per acre is flat in 1850 compared to the 1860 reference and separates only after the war, so the collateral base of these counties was not already diverging before emancipation. Reported wealth in the same geographic units contracts across the war in the counties where slaveholding had been concentrated, which is the wealth change the banking break should follow.

Because national charters did not exist before 1863 (United States Congress 1864; Jaremski 2013), the national-charter columns study postwar formation within state and year rather than treating the pre-1863 zeros as an observed banking choice.

4.3 Reported Wealth Across Emancipation

The wealth specification is Equation (2) run on two periods, 1860 and 1870, over the 668 stable geographic units. Unit effects replace county effects, state-specific changes between the two Censuses are absorbed, and the fourteen 1860 characteristics again enter as products with the post indicator. The specifications use total wealth in levels, because the quantity of interest is the local property base rather than wealth per resident. Panel B repeats the specification over every adult in 1870 rather than white adults alone, which tests whether the contraction is a transfer of reported wealth to freedpeople.

4.4 Sherman's March

For the march, we estimate a decade-by-decade cross-sectional specification:

$$E\big[Y_{ct} \mid t \in d\big] = \exp(\lambda_t + \beta_d Z_c + \rho_d S_c + \kappa_d Z_c S_c + X_c' \Gamma_d)\,, \tag{3}$$

where S_c equals one inside the recorded corridor. Then β_d is the slave-share difference outside the corridor and κ_d the additional difference inside it. Physical destruction predicts $\kappa_d < 0$ in Equation (3) in the decades after the march. The prewar decades of the same table provide the historical benchmark, because the army arrived in 1864 and any corridor difference before that year measures how the route counties already differed.

4.5 The Boll Weevil

The boll weevil reached each county in a year set by the insect's spread. We stack the arrival cohorts: each cohort combines the counties the weevil reached that year with counties it would not reach for at least ten more years. The window runs from ten years before arrival

through nine years after, and we estimate the stacked specification as

$$E\big[Y_{cgt} \mid c, g, t\big] = \exp\Bigg(\alpha_{cg} + \lambda_{gt} + \sum_{k \neq -1} \Big[\beta_k T_c^g W_{cgt}^k + \gamma_k T_c^g W_{cgt}^k C_c + \delta_k T_c^g W_{cgt}^k H_c + \theta_k T_c^g W_{cgt}^k C_c H_c \Big] \Bigg), \tag{4}$$

where g indexes the cohort, T_c^g identifies its treated counties, W_{cgt}^k identifies event year k, C_c marks a high-cotton county, and H_c a high-slavery county. Cohort-by-county effects α_{cg} absorb permanent county differences within each stack and cohort-by-year effects λ_{gt} absorb changes shared by the comparison counties in that cohort. The year before arrival is omitted, and the coefficients θ_k measure the additional change where cotton and slavery had both been concentrated. The displayed table replaces the event years with five bins and reports the same four-row structure.

Equation (4) identifies the collateral channel if arrival timing was unrelated to a county's banking outcomes and the weevil affected banking through the cotton crop that secured local lending. Three tests support this interpretation. The event-time coefficients before arrival are close to zero, so banking had not already begun to change in the counties that the weevil reached first. Sugar counties, where the weevil damaged no local crop, show no similar decline. The decline appears in state-chartered banks and not in national ones, which is the split the collateral explanation predicts and a general county downturn does not.

4.6 The Gold Standard Act of 1900

The Act lowered the minimum paid-in capital for a national bank from $50,000 to $25,000 in towns of no more than 3,000 residents. We estimate the triple-difference specification around that threshold as

$$E\big[Y_{ct} \mid s, t\big] = \exp\big(\mu_s + \lambda_t + \beta_1 Small_c + \beta_2 Z_c + \beta_3 Small_c Post_t + \beta_4 Z_c Post_t + \beta_5 Small_c Z_c + \beta_6 Small_c Z_c Post_t + X_c'\Gamma + X_c' Post_t \Pi\big), \tag{5}$$

where $Small_c$ equals one when the county's largest place held fewer than 2,500 residents in 1900 and $Post_t$ equals one after 1900. The reference group is the counties whose largest place held 4,000 to 9,999 residents; counties nearer the statutory cutoff and counties holding

larger cities are excluded. The coefficient β_6 in Equation (5) measures how the post-1900 change varies with the slave share across the two town-size groups.

The specification identifies the capital channel if, absent the Act, eligible and ineligible towns would have changed national bank formation similarly after conditioning on slave share and the 1860 characteristics. Three tests support this interpretation. The year-by-year version is flat before 1900 and turns at the statute. The Act left state capital requirements untouched, and state charters show no corresponding change. The capital-class specification isolates the banks admitted by the threshold, those entering with $25,000 to $49,999 of paid-in capital, compared to those entering at or above the former minimum.

4.7 Persistence and Deregulation

The Great Migration and Confederate culture results use decade-by-decade cross sections in the form of Equation (1). The county's net Black outmigration rate, or its culture index, enters alongside the slave share and as a product with it. The deregulation specifications run from 1960 to 1994 for intrastate reform and from 1994 to 2024 for interstate reform (Jayaratne and Strahan 1996; Rice and Strahan 2010). Both carry state-by-year effects, which absorb the reform indicator, the 1860 characteristics split by period, and a triple product of the slave share, the log 1960 number of banks, and the post-reform indicator. The intrastate result measures a change in the level difference over the window rather than a change dated to reform, and we describe it accordingly in the results.

4.8 Modern Banking and Movers

The modern specification applies Equation (1) to the branch records from 1987 through 2024.

County-level data cannot separate where people live from who lives there. We separate person effects from place effects with a mover difference-in-differences design that tracks the same person before and after a move across county lines (Finkelstein et al. 2016):

$$Y_{it} = \eta_i + \lambda_t + \phi_{a(i,t)} + \sum_r \psi_r \mathbf{1}\{R_{it} = r\} + \theta Post_{it}\Delta_i + \varepsilon_{it}, \tag{6}$$

where η_i are person effects, $\phi_{a(i,t)}$ five-year age-bin effects, and ψ_r effects for the year relative to the move. Person effects address the second challenge directly, because a borrower's own history, preferences, and permanent capacity remain fixed, so the coefficient compares the same credit file before and after a move. In the first version Δ_i is the destination-minus-origin difference in the standardized slave share, so θ is the change for a mover whose destination

has a slave share one standard deviation higher. In the second, Δ_i is the destination-minus-origin difference in the mean outcome among people who do not move, so θ is the share of the cross-county difference a mover acquires after arriving. A value of zero leaves the credit difference with the person and a value of one assigns it to the place.

Identification requires that moves are not timed to the credit outcomes they change. The relative-year effects ψ_r absorb changes common to movers around a move, including the borrowing that accompanies a relocation. We also drop the observations immediately before and during the recorded move, so the address change is complete on both sides of the move. Count and dollar outcomes enter an exponential conditional-mean model; scores and indicators use ordinary least squares. Standard errors are clustered by origin and destination county in the least-squares specifications and by origin county in the exponential ones.

5 Empirical Results

This section first establishes the banking reversal and identifies the postwar difference in banking supply outside Sherman's corridor. We then examine whether the persistent difference in the number of banks reflects fewer new banks, more exits, or both. Farm values show whether the collateral loss persisted. Boll weevil arrival and the 1900 reduction in required bank capital test the roles of collateral and entry costs. The Great Migration, Confederate institutions, and branching deregulation show how the banking difference changed before the modern period, followed by modern banking markets and the credit files of people who move across counties.

5.1 The Banking Reversal after Emancipation

Figure 2 shows the reversal in local banking structure. In 1860, counties where enslaved people made up more of the population had more state-chartered banks; in 2020, they had fewer institutions operating at least one local branch. The figure plots the number of banks and institutions compared to the 1860 slave share, defined as the share of county residents enslaved that year. Each point is the mean for one of twenty equally sized bins, and the lines are the unadjusted county relationships. We divide the 997 counties at the sample median of about 33 percent. Counties above the median had about twice as many state-chartered banks in 1860, but about one-fifth fewer institutions with a local branch in 2020. The counties with fewer institutions today did not begin with fewer banks.

[Insert Figure 2 Here]

Figure 3 follows the reversal across the available banking records. The source changes over time, so each panel covers the banking universe recorded in that source. In 1860, high-slavery counties had about twice as many banks per county as low-slavery counties: 0.14 versus 0.07. Within two decades, the ordering had reversed. By 1900, high-slavery counties had about one-third fewer national banks than low-slavery counties. The end of slave collateral changed which counties supported local banks, and the resulting difference in banking supply persisted for the next 160 years.

[Insert Figure 3 Here]

5.1.1 Banking Before and After Emancipation

Before emancipation, counties with higher slave shares had larger local banking systems. Panel A of Table 2 uses the Weber censuses of state-chartered banks and their balance sheets from 1820 to 1860. A one-standard-deviation higher slave share corresponds to about 64 percent more state-chartered banks. The same positive difference appears in assets, deposits, loans, and capital. Counties with more wealth held in enslaved people had both more local banks and more capital behind them.

After emancipation, the cross-county difference reverses for national banks. Panel B follows nationally chartered banks from 1863 to 1933. A one-standard-deviation higher slave share corresponds to about 58 percent fewer deposits held by national banks. Assets, loans, and capital are also lower in counties with higher slave shares. Counties that began with more bank capital before emancipation held less capital in national banks afterward.

[Insert Table 2 Here]

5.1.2 The Break in Bank Formation

Emancipation ended the legal ownership of enslaved people and, with it, the wealth and the lenders' claims on which local credit had been built. Table 3 uses a continuous difference-in-differences specification to follow the number of state-chartered banks through the war. After 1865, counties with a one-standard-deviation higher slave share had about 51 percent fewer state-chartered banks relative to the prewar relationship. The probability that a county had any state-chartered bank fell by about 3 percentage points. The counties that had supported more banks before emancipation experienced the largest contraction afterward. The reversal begins at emancipation, when lenders lost their legal claims on enslaved people, rather than continuing the prewar relationship.

National banks were a postwar institution. Congress authorized national charters only in 1863, so no prewar national-bank system existed to carry this capacity forward (United

States Congress 1864; Jaremski 2013). Table 3 measures national-bank formation after 1863. Counties with a one-standard-deviation higher slave share had a 13-percentage-point lower probability of having a national bank and about 41 percent fewer national banks. National banks did not replace the banking capacity lost after emancipation.

[Insert Table 3 Here]

5.2 Bank Entry and Exit

Entry determines whether a county adds deposits, loans, and bank capital to its local financial system. A county can retain its existing banks and still have a smaller banking system when few new ones open. Table 4 reports entry and exit rates for high-slavery and low-slavery counties across three periods. In high-slavery counties, entry was 28 percent lower from 1864 to 1899, 41 percent lower from 1900 to 1932, and 29 percent lower from 1988 to 2024. Exit rates did not differ in the first two periods. After 1988, exits were 12 percent less frequent in high-slavery counties. The lower entry rate compounded over time and left high-slavery counties with persistently smaller banking systems.

[Insert Table 4 Here]

5.3 Reported Wealth Across Emancipation

Emancipation reduced reported local wealth by more than the legal value that had been assigned to enslaved people (Table 5). We compare the same geographic units in 1860 and 1870. Counties with a one-standard-deviation higher 1860 slave share had a 30 percent larger decline in total reported wealth. Personal estate in 1860 included the legal value assigned to enslaved people. Real estate covered land, houses, town lots, and stores. Among white adults, counties with a one-standard-deviation higher slave share had about a 20 percent larger decline in real estate and a 37 percent larger decline in personal estate. The decline in real estate shows that the shock reached property that remained legally ownable. Panel B includes all adults in 1870 and tests whether the decline reflects a transfer of reported wealth from white households to freedpeople. The decline is similar, so the wealth was not transferred to freedpeople.

[Insert Table 5 Here]

The 1860 and 1870 records show the immediate contraction after emancipation. Farm values show whether the land and buildings that remained available as collateral recovered

over the longer run. Figure 4 follows farm value per acre in the same counties from 1850 through 2012. Farm value per acre is the reported value of farm land and buildings divided by farm acreage.

[Insert Figure 4 Here]

Before emancipation, counties with higher slave shares had similar farm values per acre. By 1870, their farm values per acre were lower, and the farm-value difference widened over the following decades. By 2012, counties with a one-standard-deviation higher slave share had about 31 percent lower farm value per acre. Land did not replace enslaved people as collateral after emancipation. Borrowers had less land value to pledge, and local investors had less wealth behind new banks. The lower value of the land that remained legally ownable helps explain why the difference in banking supply persisted.

5.4 Physical Destruction

War damaged railroads, farms, and towns, all of which supported local banking. Sherman's March to the Sea was one of the most destructive campaigns against civilians during the Civil War. Union forces moved from Atlanta to Savannah in 1864, and Sherman's army continued through South Carolina and North Carolina in 1865. Along the recorded corridor, the army destroyed railroads, farms, and towns (Bailey 2020; Feigenbaum et al. 2022). We use a difference-in-differences design that contrasts counties inside and outside the recorded corridor before and after the march. If this destruction created the postwar difference in banking supply, counties with higher slave shares should have experienced a larger decline inside the corridor than outside it. We use the corridor reconstructed from an 1865 War Department map (Feigenbaum et al. 2022). Figure 5 maps the corridor compared to the 1860 slave share in Georgia and the Carolinas. The corridor crosses counties on both sides of the sample median slave share.

[Insert Figure 5 Here]

Table 6 reports the number of banks by decade. Outside the corridor, counties with a one-standard-deviation higher slave share had about 28 percent fewer banks in the 1920s, and the difference in banking supply remained negative in every postwar decade. The corridor did not produce an additional decline after the march. The difference in banking supply was also negative in every prewar decade. Route counties with higher slave shares already had fewer banks than comparable high-slavery counties outside the route, so physical destruction along the route does not explain why counties with higher slave shares had fewer banks across the South.

[Insert Table 6 Here]

The difference in banking supply also appears in the four slave states that did not secede. Delaware, Kentucky, Maryland, and Missouri ended slavery through state action and the Thirteenth Amendment, without Confederate defeat or postwar military government. From 1987 through 2024, high-slavery counties in these states had about 29 percent fewer banks than low-slavery counties. The difference in banking supply was at least as large in every earlier postwar period (Table A.1). This result shows that the difference does not depend on Confederate defeat or Sherman's campaign.

5.5 Collateral and Bank Capital

Two possible mechanisms could connect the loss of slave collateral to the difference in banking supply. One is that later losses in agricultural collateral reduced the wealth available to local banks. The other is that the capital required to establish a bank remained a constraint after emancipation. We use two later tests to separate these mechanisms. The boll weevil reduced cotton collateral, and the Gold Standard Act lowered the capital requirement for national banks in smaller towns.

5.5.1 The Boll Weevil

The boll weevil entered the United States near Brownsville, Texas, in 1892 and spread through the Cotton South over the next several decades. The insect feeds inside cotton bolls. As it reached each county, it reduced cotton production, acreage, and yields, and lowered the value of cotton land pledged for farm loans (Ager et al. 2017; Lange et al. 2009). The arrival tests whether a later loss of agricultural collateral reduced bank formation more in high-cotton, high-slavery counties. It lowered the value of cotton land without removing the entire local asset base. We use its staggered arrival in a cohort-stacked difference-in-differences design, implemented as an event study. Figure 6 maps the years in which the insect reached each part of the region. The infestation spread northeast across the Cotton South and reached the Atlantic coast around 1920.

[Insert Figure 6 Here]

Figure 7 shows the timing of the decline. In high-cotton, high-slavery counties, the number of banks decreases after arrival and remains lower for several years. As cotton output and land values declined, borrowers had less collateral to pledge and banks had fewer farm loans to make. The number of banks returned to its pre-arrival level within fifteen years.

The boll-weevil decline is temporary, unlike the persistent difference in banking supply across counties with different 1860 slave shares.

[Insert Figure 7 Here]

Table 7 separates counties by cotton production and slave share. Five to nine years after arrival, high-cotton, high-slavery counties had about 23 percent fewer banks than counties with lower cotton or slave shares. High-slavery sugar counties, where the boll weevil did not damage the main crop, show no similar decline. The crop-specific result ties the contraction to the loss of cotton collateral rather than to the insect's arrival alone. The sharper contraction in high-slavery counties shows that these banking systems were less resilient to a later agricultural-collateral shock when cotton was central to local production.

[Insert Table 7 Here]

The decline appears in state-chartered banks. Table 8 reports the results separately by charter type. Five to nine years after arrival, high-cotton, high-slavery counties had about 38 percent fewer state-chartered banks. The number of national banks did not decline in these counties. State-chartered banks relied more directly on local investors and local collateral. The decline in state-chartered banks, with no corresponding decline in national banks, is the split that a loss of local collateral predicts and a general county downturn does not.

[Insert Table 8 Here]

The decline remains under the Callaway and Sant'Anna estimator (Callaway and Sant'Anna 2021) (Figure A.1). It also remains when we use continuous cotton and slave-share measures or date arrival from digitized newspapers rather than the Department of Agriculture map (Tables A.2 and A.3).

5.5.2 The Gold Standard Act of 1900

Before 1900, a national bank in any town needed at least $50,000 of paid-in capital before it could open. The Gold Standard Act of 1900 lowered the minimum from $50,000 to $25,000 for towns with no more than 3,000 residents (United States Congress 1900). The law made entry cheaper in smaller towns. We use a triple-difference design that contrasts small-town and larger-town counties before and after 1900, with the change in entry varying by the 1860 slave share. If lost slave collateral constrained bank formation, lowering the requirement should increase national bank entry most in high-slavery counties whose towns became

eligible for the lower capital requirement. The Act did not change the capital requirements for banks chartered by states.

Figure 8 shows the change when the law took effect. Before 1900, high-slavery small-town counties had fewer national banks than small-town counties with lower slave shares. The relationship changes at the reform, and after 1900 national bank entry increases in high-slavery small-town counties. The timing is consistent with a capital constraint. Counties that had lost more wealth after emancipation experienced the largest increase in entry when federal law lowered the capital needed to open a national bank.

[Insert Figure 8 Here]

Table 9 shows the change in national-bank formation, capital, and assets after 1900. After 1900, the number of national banks in small-town counties increased by about 147 percent relative to counties with larger towns. For a one-standard-deviation higher slave share, that increase was about 42 percent larger. Reported national-bank capital increased by about 33 percent and reported assets by about 43 percent. The law increased both the number of banks and the capital and assets behind them.

[Insert Table 9 Here]

Table 10 shows that entry increased among banks with capital below the old minimum. Newly eligible banks entered with $25,000 to $49,999 in paid-in capital, whereas banks entering with at least $50,000 faced the previous requirement. After 1900, the difference in bank entry across slave shares was about 73 percent larger for newly eligible banks. The probability that any bank entered changed little. The change was concentrated among banks that required the lower capital threshold, especially in counties where emancipation had removed more wealth.

[Insert Table 10 Here]

During the first twelve years of the Act, small-town high-slavery counties still had fewer national banks and less national-bank capital than small-town low-slavery counties, while the share of banks entering in the newly eligible capital class was nearly the same in both groups (Table A.4). The Act lowered one entry cost for a similar share of banks in both groups but did not restore the local wealth base needed to build a banking system of the same size in high-slavery counties.

5.6 The Great Migration

Black outmigration could have reduced demand for local banking by shrinking the population and the number of businesses served by local banks. Table 11 uses county net Black outmigration during the 1940s, 1950s, and 1960s, measured by Derenoncourt (2022), to test whether population loss explains the persistent difference in banking supply.

Black outmigration does not explain the difference in banking supply. In each decade, counties with a one-standard-deviation higher 1860 slave share had about 21 to 35 percent fewer banks after conditioning on outmigration. Counties with greater outmigration had fewer banks, and the association between outmigration and the number of banks was stronger in counties with higher slave shares, so population loss added to a difference that was already present. It cannot explain why the difference appeared decades before mass Black outmigration began.

[Insert Table 11 Here]

5.7 The Confederate Culture Index

Confederate political institutions and racial violence could have affected later banking by influencing who participated in local markets and where banks operated. We use the Confederate Culture Index of Bazzi et al. (2023), which records a Confederate memorial, a United Daughters of the Confederacy chapter by 1900, Klan presence, and a lynching after 1900. The index ranges from zero to four and allows the difference in banking supply across slave shares to vary across counties with different institutions.

Table 12 shows that the difference in banking supply remains after adding the Confederate Culture Index. From the 1900s through the 1960s, counties with a one-standard-deviation higher 1860 slave share and none of the four institutions had about 18 to 24 percent fewer banks. Counties with one additional index point had more banks at a given slave share, consistent with local political power affecting banking development (Rajan and Ramcharan 2011). From the 1920s onward, the number of banks increased less with the index in counties with higher slave shares. The difference in banking supply was already present before these later institutions could affect banking. Although Confederate institutions and racial violence added to the difference in later decades, they did not create the persistent lower number of banks in high-slavery counties.

[Insert Table 12 Here]

5.8 Branching Deregulation

Branching deregulation changed how banks could operate across counties. Intrastate reforms allowed existing banks to open branches across their home states, and interstate reforms later allowed them to cross state lines. A branch could bring deposits and loans into a county without recreating the local wealth needed to establish a bank, separating access to an existing bank's network from the formation of a new local bank. If local wealth remained a constraint, high-slavery counties could gain branches without narrowing the difference in the number of banks.

Intrastate branching reform did not narrow the difference in the number of banks (Table 13). After reform, the number of banks in counties with a one-standard-deviation higher slave share was about 7 percent lower relative to the pre-reform difference. This widening was about 2 percentage points smaller in counties that had more banks in 1960, so branching slightly narrowed the difference in banking supply among counties with an established local banking system. The difference in branches did not change with reform, leaving the historical difference in banking supply intact.

[Insert Table 13 Here]

Interstate reform did not narrow the difference either (Table 14). Before interstate reform, counties with a one-standard-deviation higher 1860 slave share had about 12 percent fewer institutions operating at least one branch, 16 percent fewer branches, 15 percent fewer new branch openings, and 20 percent fewer branch deposits. Their deposits were about 8 percent more concentrated. Despite this greater concentration, high-slavery counties did not have more new branch openings after interstate reform. In counties with more banks in 1960, high-slavery counties had fewer new branch openings. After reform, the differences in institutions, branches, and deposits remained, and deposit concentration did not change with the slave share. Interstate deregulation allowed existing institutions to cross state lines, but it did not rebuild the local banking base lost after emancipation.

[Insert Table 14 Here]

5.9 Modern Banking Geography and Household Credit

5.9.1 Modern Banking Markets

The historical difference in banking supply remains visible in modern local banking markets (Table 15). In the FDIC branch records from 1987 through 2024, counties with a

one-standard-deviation higher 1860 slave share had about 31 percent fewer banks, 48 percent fewer branches, and 62 percent fewer branch deposits. The distance from the county's population center to the nearest branch was about 18 percent greater, and deposits were about 23 percent more concentrated. The difference appears in the number of banks, in physical access to branches, and in the concentration of deposits.

[Insert Table 15 Here]

5.9.2 Local Economic Outcomes

Counties with a higher 1860 slave share have lower household incomes today, and so do counties that had fewer banks in 1960. A one standard deviation higher slave share is associated with about 4 percent lower median household income in 2019. The poverty rate is about 1 percentage point higher against a sample mean of 18 percent, and the unemployment rate about half a percentage point higher against a mean of 6.3 percent. College attainment does not differ.

Both the 1860 slave share and the county's banking system in 1960 predict weaker outcomes today, and each adds something the other does not. A one standard deviation higher slave share predicts about 3 percent lower median household income, and a one standard deviation lower 1960 bank count predicts a further reduction of about 3 percent. Unemployment works the same way, with the slave share predicting a rate about 0.4 percentage points higher and fewer 1960 banks about 0.15 points more.

The two differ on the other outcomes. The slave share predicts a poverty rate about 0.9 percentage points higher, while the 1960 bank count predicts little. Fewer banks in 1960 predict a college share about 1.8 percentage points lower against a mean of 12.8 percent, while the slave share predicts little. Allowing the slave-share difference to vary with the 1960 bank count adds little, which suggests the two work alongside one another rather than one through the other.

[Insert Table 16 Here]

5.9.3 Moving Across Counties

The mover design follows the same adults before and after they move across county lines in the consumer credit files. Person fixed effects absorb permanent differences across borrowers, such as financial history and borrowing preferences. Effects for the calendar year, the age bin, and the year relative to the move absorb changes common to people who move. Following Finkelstein et al. (2016), we calculate the destination-minus-origin difference in

average credit outcomes among people who do not move. The coefficient θ measures the share of this geographic difference that movers acquire after arriving. A value of zero means that credit outcomes remain tied to the borrower, whereas a positive value means that outcomes move toward the destination.

Table 17 shows how much of the local credit-supply difference follows a borrower across county lines. Among people who do not move, those in high-slavery counties hold about $5,050 less in total credit limits and about $3,800 less in mortgage credit than those in low-slavery counties. After arrival in a high-slavery county, total credit limits shift 22 percent toward the lower destination level, open credit lines 14 percent, newly opened credit lines 19 percent, mortgage credit 25 percent, mortgage holding 17 percent, and auto-loan holding 14 percent. Applied to those differences, a mover acquires about $1,090 of the credit-limit difference and about $940 of the mortgage-credit difference. Bankcard credit limits do not shift toward destination levels, consistent with national issuers supplying them. Credit scores do not adjust toward destination levels, and they change little in the years before the move in either direction (Figure A.2). The same borrowers hold less credit and a different mix of credit lines in high-slavery counties, which suggests that local credit supply, rather than permanent differences across borrowers, sets the amount and mix of credit.

[Insert Table 17 Here]

House values explain about half of the mortgage-credit result. Adding the destination-minus-origin difference in log house values lowers the share of the mortgage-credit difference that movers acquire from 25 to 13 percent, so about half of that convergence follows local house values (Table A.5). Mortgage holding moves the other way, because the share is slightly larger with the house-value term than without it and the house-value term itself is close to zero. Whether a person holds a mortgage after moving follows local lending rather than local house values.

6 Conclusion

Before the Civil War, counties of the former Confederacy with the most wealth in enslaved people had the most banks. The ordering reversed after emancipation, and high-slavery counties still have the fewest banks today. Wartime destruction and Black outmigration do not explain when the reversal began. High-slavery counties later experienced a sharper contraction when the boll weevil reduced cotton collateral, even though banking supply recovered. The loss of slave collateral left these counties with fewer banks for the following

century and a half and with local banking systems that were more vulnerable to a later loss of agricultural collateral.

Financial economists usually study the collateral channel through asset prices, following lending as collateral values change (Gan 2007; Chaney et al. 2012). Emancipation removed an entire asset class permanently, and local credit did not rebuild around a substitute. More than a century later, high-slavery counties still have fewer banks, branches, deposits, and physical access to banking services. Local banking systems did not rebuild after emancipation ended the legal claims that had secured their loans.

The design has its limits. The 1860 slave share is not randomly assigned, and the specifications condition on the 1860 county economy rather than isolating exogenous variation in slaveholding. The assignment does have a physical origin, because slaveholding concentrated where Cretaceous chalk and river alluvium made cotton profitable, so the geography of slaveholding was set by soil rather than by the credit system that grew up around it. The case for the collateral channel therefore rests on the reversal at emancipation and on three later shocks whose timing or legal terms were set outside local banking markets. The reversal begins at emancipation and appears outside Sherman's corridor. The boll weevil later reduces banking after cotton collateral falls, and the Gold Standard Act increases national-bank entry when the capital requirement falls. The mover design follows adults for about five years after a relocation across county lines, so it measures the effect of place on an established credit file rather than the consequences of forming one in a county with few banks.

The mover evidence shows what this banking difference means for households. Adults arriving in high-slavery counties held less total and mortgage credit without a change in their credit scores. Branching can bring existing banks into counties with fewer local banks, but it did not recreate the local wealth needed to form banks. The same mechanism should operate wherever a legal change removes an asset class from lenders' reach rather than repricing it, such as expropriation, land reform, or a ban on a form of collateral.

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Figure 1. Distribution of the 1860 Slave Share across Southern Counties

This figure maps the share of each county's population enslaved in 1860. The shares are from the 1860 Census as coded by Acharya, Blackwell, and Sen (2016), taken from the county panel the regressions use, and the map shows the share itself rather than its standardized form. County polygons are the 2022 Census county boundaries. The shading runs from zero to 0.92, and counties outside the sample are shaded gray. The sample is the 997 counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls.

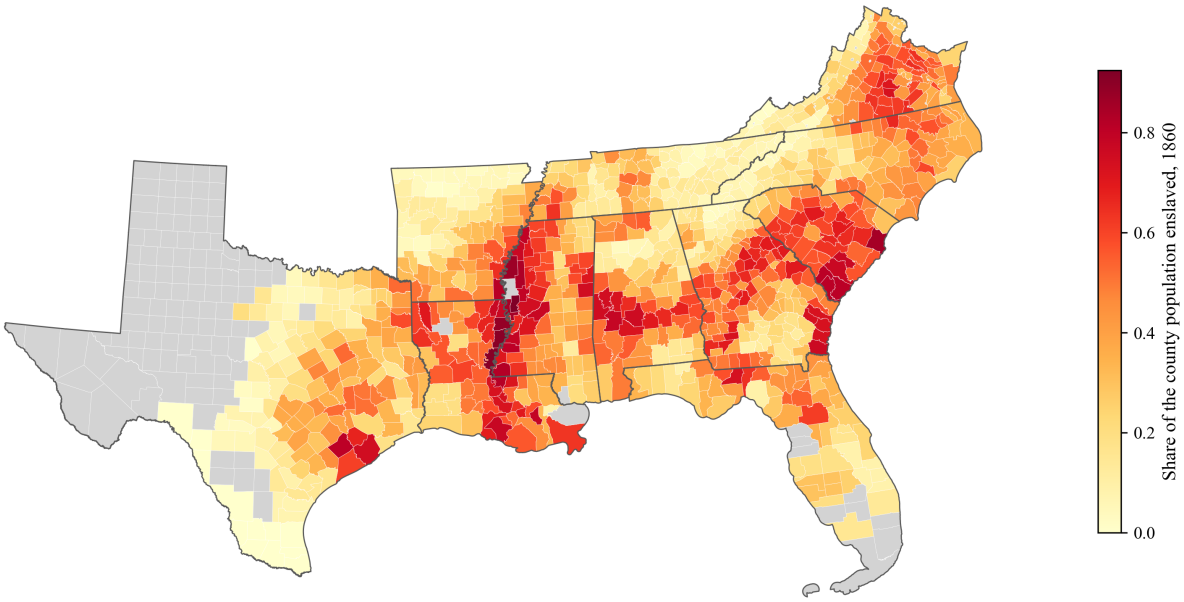


Figure 2. Relationship Between the 1860 Slave Share and the Number of Banks, 1860 and 2020

This figure shows binned means of the county number of banks compared to the 1860 slave share, with no controls. Counties are divided into twenty equal-size bins of the 1860 slave share; each point is the mean number of banks within a bin, and the line is the unconditional linear fit on the underlying county data. Panel A shows state-chartered banks in 1860 from the Weber census; Panel B shows institutions operating at least one branch in the county in 2020 from the FDIC Summary of Deposits. The sample is the 997 counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls.

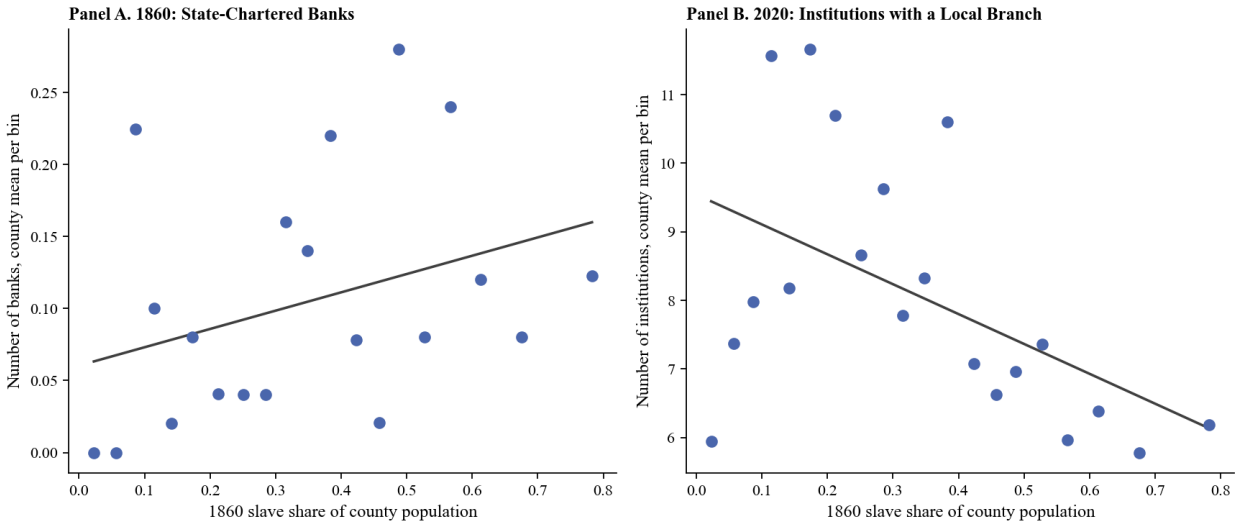


Figure 3. Number of Banks per County in High- and Low-Slavery Counties, 1820–2024

This figure plots the mean number of banks per county in high-slavery and low-slavery counties in each year from 1820 through 2024. Panel A counts state-chartered banks from the Weber state-bank censuses for 1820–1860, when state charters were the only bank charters. Panel B counts nationally chartered banks from the annual records of the Office of the Comptroller of the Currency for 1863–1933. Panel C counts insured banks from the Federal Deposit Insurance Corporation for 1934–2024, each counted at the county holding its headquarters. The panel holds no observation for 1861 or 1862. High-slavery counties are the 498 counties whose 1860 slave share is at or above the sample median of 0.328, and low-slavery counties are the 499 counties below it. County-years with no observed bank are counted as zero. The gray dotted line in Panel B marks emancipation in 1865. The sample is the 997 counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls.

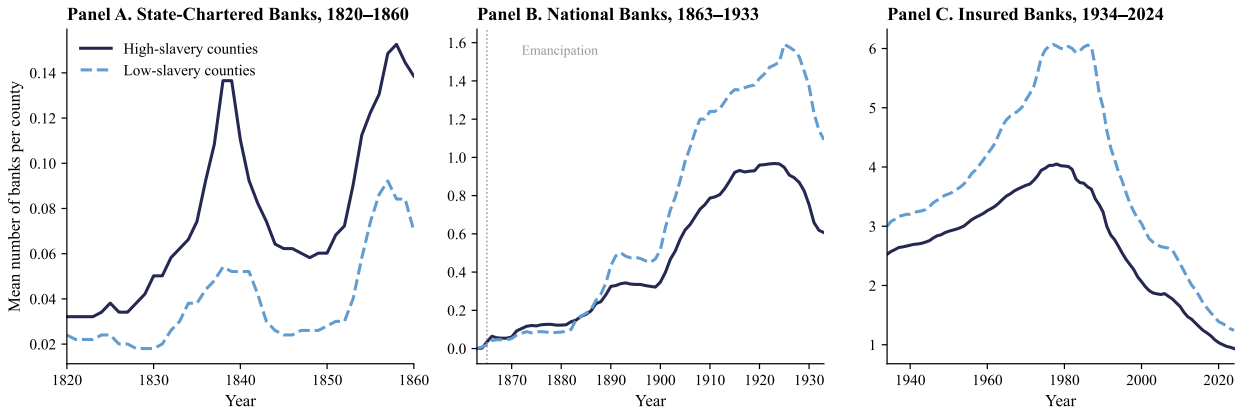


Figure 4. Effect of the 1860 Slave Share on Farm Land Value, 1850–2012

This figure plots the Census-year path of the effect of the 1860 slave share on the log of farm land value per acre. The specification is estimated in one regression with county effects, state-by-year effects, the products of *Slave Share*$_i$ with each Census year, and thirteen of the fourteen 1860 controls entering as products with each Census year. The 1860 farm value per acre is excluded from the controls. 1860 is the reference year, shown as the hollow marker, and 1850 precedes emancipation; the Census first collected farm values in 1850, so no earlier Census year exists. The plotted points are the Census-year coefficients and the bars are 95 percent confidence intervals from standard errors clustered at the county level. The dotted line passes through the reference year. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. Farm value per acre is the Census average value of farm land and buildings per acre, in nominal dollars, from the Census of Agriculture; 1992 is excluded, and from 1997 the Census asks for the estimated market value. *Slave Share*$_i$ is the standardized share of the county population enslaved in 1860. The controls are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section.

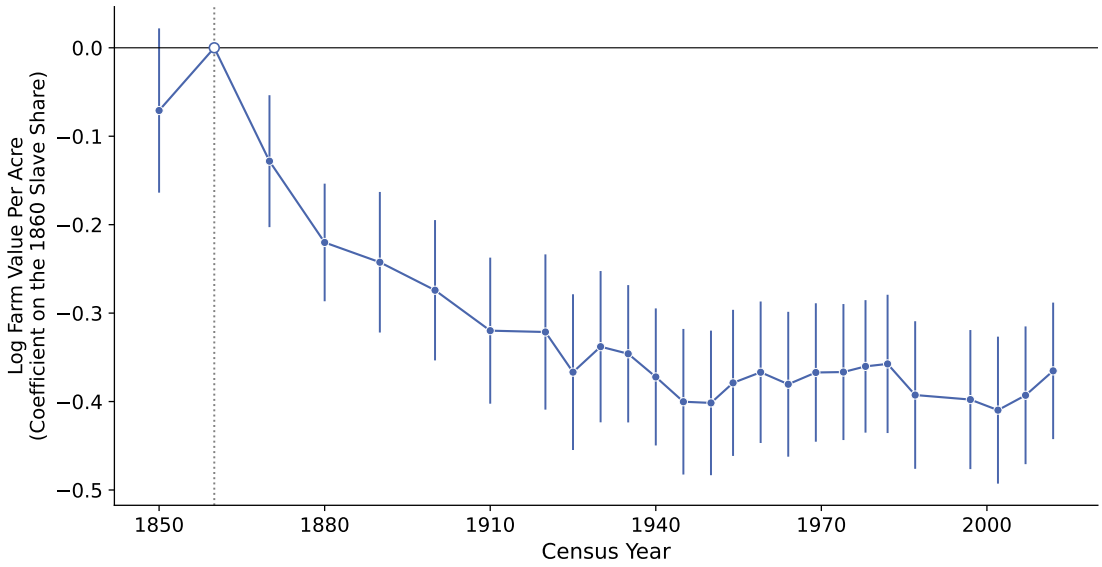


Figure 5. Sherman's March Corridor and the 1860 Slave Share

This figure maps Sherman's march corridor together with the 1860 slave share in Georgia, North Carolina, and South Carolina, the three states the march crossed. The corridor indicator is the one reconstructed from an 1865 War Department map by Feigenbaum, Lee, and Mezzanotti (2022), and marks 57 of the 305 counties of these three states. High-slavery counties are those whose 1860 slave share is at or above the sample median of 0.328, and low-slavery counties are those below it. County polygons are the 2022 Census county boundaries.

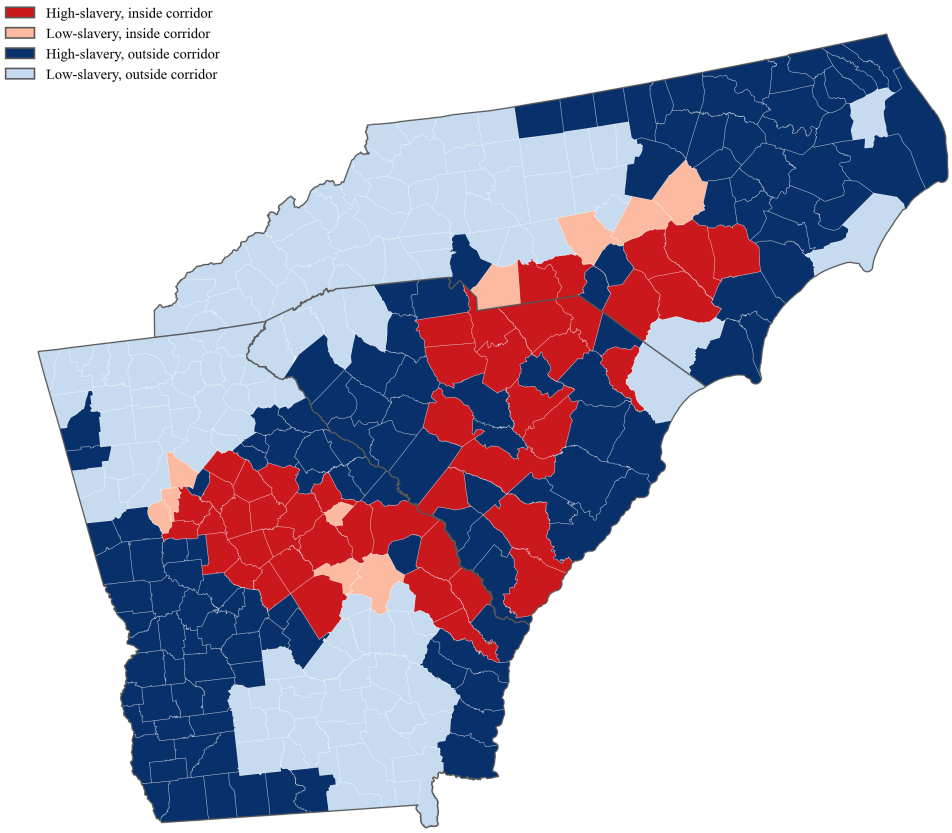


Figure 6. Arrival of the Boll Weevil across the Cotton South

This figure maps the year the boll weevil reached each county. The arrival years are the county arrival dates of the U.S. Department of Agriculture map of Hunter and Coad (1923), the dates the weevil design uses, and are recorded for 800 of the sample counties, with arrival years from 1892 through 1922. Counties with no recorded arrival year are shaded gray. County polygons are the 2022 Census county boundaries. The sample is the 997 counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls.

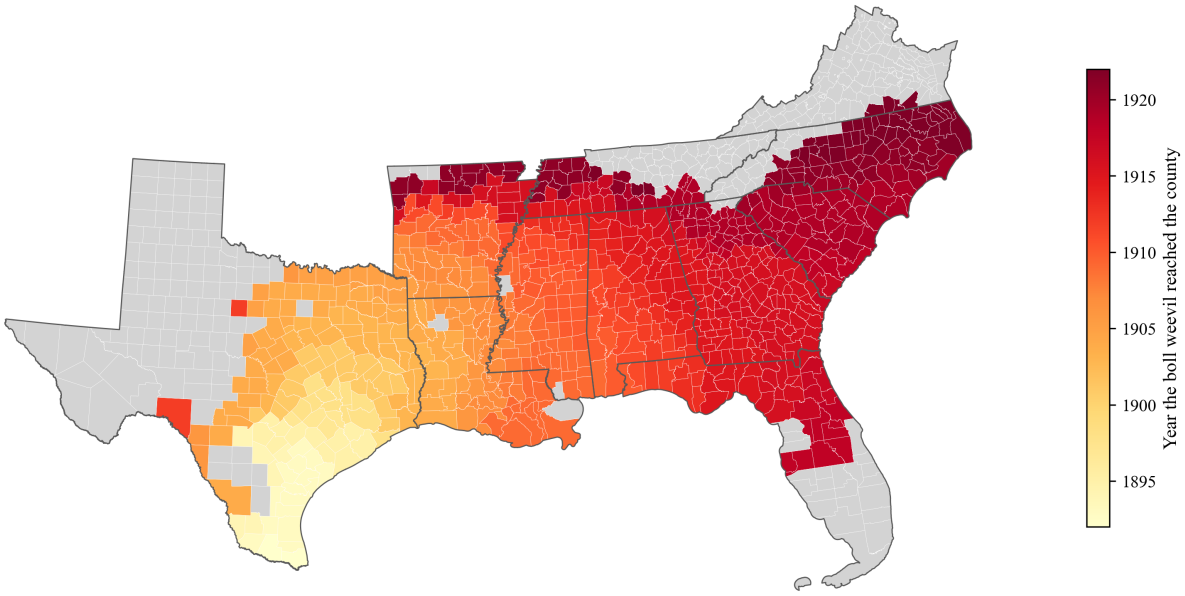


Figure 7. Effect of Boll Weevil Arrival on the Number of Banks, by High-Cotton and High-Slavery Status, Stacked by Arrival Cohort: Event Study

This figure plots the year-by-year path of the product $Weevil_{i,t} \times High\text{-}Cotton_i \times High\text{-}Slavery_i$ from a stacked-by-cohort design: each arrival cohort forms a dataset of its treated counties and its clean controls, the counties whose recorded arrival is at least ten years later, over the event window of ten years before through nine years after arrival; the datasets are stacked and estimated in one Poisson regression with cohort-by-county and cohort-by-year effects and the products of the treated indicator with each event year, High-Cotton, and High-Slavery. The year before arrival is the omitted reference, shown as the hollow marker. Panel A is the all-charter count; Panel B is the state-chartered count and Panel C the nationally chartered count, both restricted to the counties with at least one state-chartered and at least one nationally chartered bank on the estimation grid. Plotted values are $e^{\beta} - 1$; bars are 95% confidence intervals from standard errors clustered at the county level; the gray dotted line passes through the reference year. The sample is the weevil-zone counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls, which the county effects absorb. $High\text{-}Slavery_i$ equals one if the county's 1860 slave share is at or above 0.328, and $High\text{-}Cotton_i$ equals one if 1900 cotton intensity is above the median among cotton-growing counties. All counts are from the Rand McNally directories, which name each bank's charter, in the edition years from 1879 through 1921, excluding the 1905, 1915, 1917, and 1918 editions; the edition years fill the annual event-time grid unevenly, so the counties contributing to each event year differ.

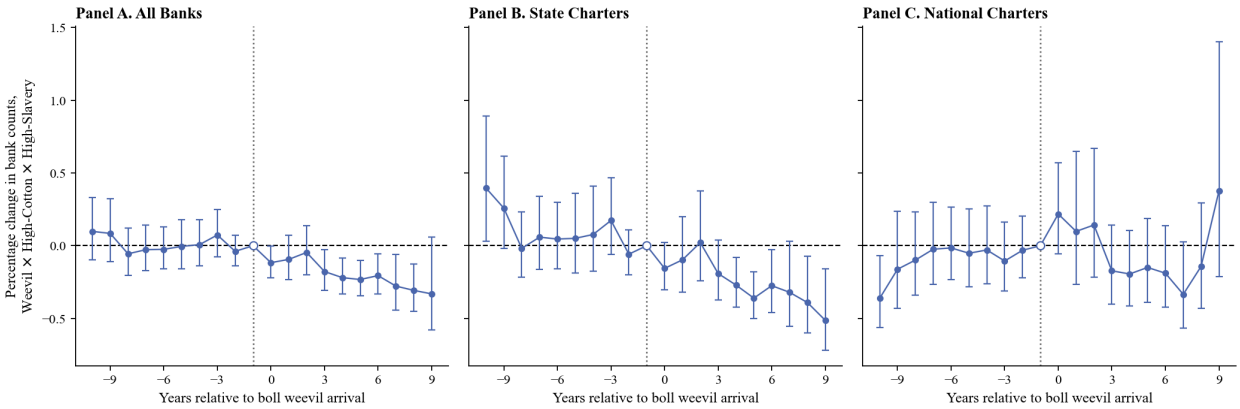


Figure 8. Effect of the Gold Standard Act of 1900 on National Banks in Small-Town Counties: Event Study

This figure plots the year-by-year version of the Gold Standard Act table's specification: the products of *Small-Town*$_i$ and of *Small-Town*$_i \times$ *Slave Share*$_i$ with each year, estimated in one Poisson regression that also carries the year products of *Slave Share*$_i$, the 1860 controls entering separately before and after 1900, and state and year effects; 1899 is the reference year. The plotted points are $e^{\beta} - 1$, the percentage change implied by each coefficient relative to 1899, and the bars are 95 percent confidence intervals from standard errors clustered at the county level. Panel A shows the Small-Town products and Panel B the Small-Town × Slave Share products. The gray dotted line passes through the reference year; the sample excludes 1900. The sample, variable definitions, and controls are those of the Gold Standard Act table; the years are 1888 through 1912.

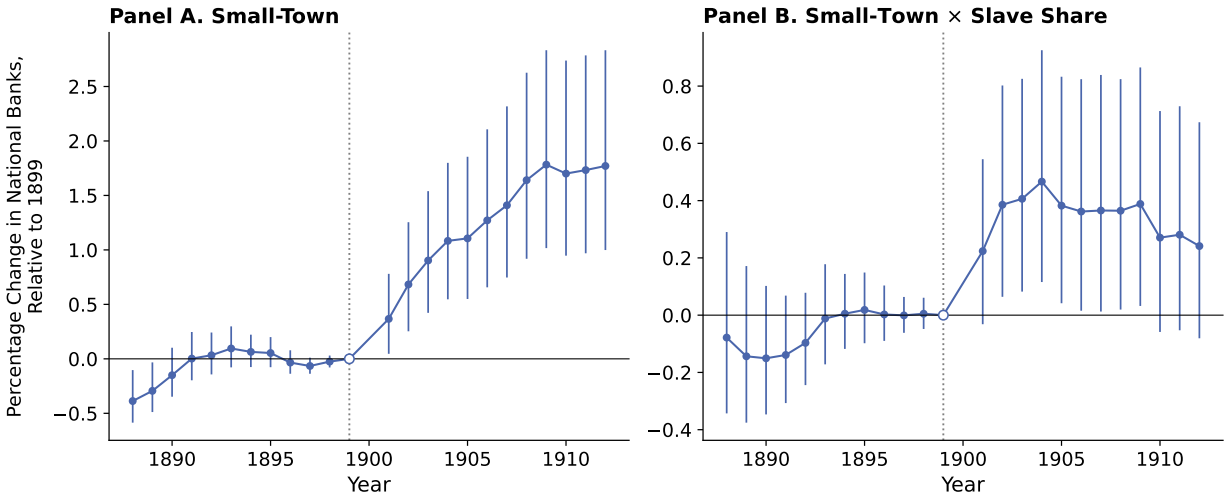


Table 1. Summary Statistics by 1860 Slave Share

This table reports county summary statistics by 1860 slave share. The sample is the 997 counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. Panel A reports 2019 county characteristics from the American Community Survey and County Business Patterns, and Panel B reports branches per county from the FDIC Summary of Deposits for 1990 through 2024. Panel C reports 1860 county characteristics and Panel D reports the number of banks per county and the share of counties with no bank, by decade. The High and Low columns report means for counties at or above and below the sample median 1860 slave share of 0.328, and the final column reports the normalized difference between the two groups.

Variable	Mean	SD	P10	P50	P90	N	High (mean)	Low (mean)	Norm Diff.
Panel A: 2019 County Characteristics (ACS / CBP)									
Population	93,885	238,878	9,464	30,414	211,975	997	70,546	117,271	-0.20
Median HH income ($)	48,791	14,069	35,293	46,006	65,565	997	47,944	49,640	-0.12
Poverty rate	0.180	0.064	0.102	0.176	0.257	997	0.192	0.167	0.38
Unemployment rate	0.062	0.024	0.037	0.057	0.093	997	0.068	0.057	0.46
Bachelor's degree fraction	0.127	0.054	0.072	0.113	0.205	997	0.126	0.127	-0.03
Black population share	0.215	0.189	0.015	0.168	0.486	997	0.330	0.100	1.54
Panel B: Branches per County, FDIC Summary of Deposits									
1990	21.848	44.704	3.000	10.000	44.800	993	17.410	26.294	-0.20
2000	22.524	44.689	3.000	11.000	49.000	993	17.677	27.400	-0.22
2010	27.231	59.229	3.000	11.000	59.000	993	20.580	33.921	-0.23
2020	23.430	51.740	3.000	10.000	51.000	993	17.805	29.067	-0.22
2024	21.730	48.400	2.000	9.000	48.100	990	16.613	26.868	-0.21
Panel C: 1860 County Characteristics									
Slave share, 1860	0.346	0.213	0.074	0.328	0.640	997	0.526	0.165	3.16
Population, 1860	8,689	8,532	1,440	7,118	16,765	997	10,548	6,826	0.45
Land Gini, 1860	0.482	0.093	0.380	0.494	0.574	997	0.485	0.480	0.05
Log farm value per capita, 1860	5.036	0.696	4.318	5.081	5.753	997	5.318	4.753	0.89
Cotton suitability	0.440	0.153	0.246	0.452	0.618	997	0.493	0.386	0.74
Cotton intensity, 1900	0.258	0.167	0.005	0.282	0.471	739	0.306	0.198	0.69
Small-farm share, 1860	0.455	0.222	0.171	0.444	0.758	997	0.340	0.571	-1.22
Terrain ruggedness	22.666	23.660	5.964	14.828	52.290	997	13.852	31.498	-0.80
Plantation legacy index	0.101	0.099	0.000	0.076	0.212	977	0.142	0.059	0.93
Panel D: Banking Outcomes, by Decade									
Banks per county									
1840	0.079	0.653	0.000	0.000	0.000	997	0.110	0.048	0.10
1860	0.104	0.652	0.000	0.000	0.000	997	0.138	0.070	0.10
1880	0.104	0.460	0.000	0.000	0.000	997	0.122	0.086	0.08
1900	0.431	0.980	0.000	0.000	2.000	997	0.347	0.516	-0.17
1920	1.187	1.636	0.000	1.000	3.000	997	0.958	1.416	-0.28
1941	2.966	3.023	1.000	2.000	6.000	997	2.697	3.235	-0.18
1960	3.744	5.134	1.000	3.000	7.000	997	3.267	4.223	-0.19
1994	3.296	5.543	0.000	2.000	6.000	997	2.667	3.926	-0.23
2020	1.218	1.826	0.000	1.000	3.000	997	1.042	1.394	-0.19
Share of counties with no bank									
1840	0.962	0.192	1.000	1.000	1.000	997	0.934	0.990	-0.30
1860	0.944	0.230	1.000	1.000	1.000	997	0.926	0.962	-0.16
1880	0.930	0.256	1.000	1.000	1.000	997	0.918	0.942	-0.09
1900	0.761	0.427	0.000	1.000	1.000	997	0.784	0.739	0.10
1920	0.437	0.496	0.000	0.000	1.000	997	0.471	0.404	0.14
1941	0.098	0.298	0.000	0.000	0.000	997	0.102	0.094	0.03
1960	0.077	0.267	0.000	0.000	0.000	997	0.086	0.068	0.07
1994	0.123	0.329	0.000	0.000	1.000	997	0.154	0.092	0.19
2020	0.393	0.489	0.000	0.000	1.000	997	0.441	0.345	0.20

Table 2. Effect of the 1860 Slave Share on the Banking System before and after Emancipation

This table reports the relationship between the 1860 slave share and the size of the county banking system before and after emancipation. The specification, estimated separately for each outcome and panel, is $E\left[Y_{i,t} \,\middle|\, \textit{Slave Share}_i, \mathbf{X}_i, \tau_t\right] = \exp\left(\beta\, \textit{Slave Share}_i + \mathbf{X}_i'\boldsymbol{\Gamma} + \tau_t\right)$, with state effects $\delta_{s(i)}$ added in Panel B; Panel A carries year effects alone. Subscript i represents the county, t the year, and s the state. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. Panel A uses the Weber state-bank census and balance sheets for 1820–1860; state charters were the only bank charters in those years. Panel B uses the OCC records of nationally chartered banks for 1863–1933. In Column 1 the outcome is the county number of banks; in Columns 2 through 5 the outcomes are total assets, total deposits, total loans, and total capital, in nominal dollars, summed over the county's banks. County-years with no bank are zeros. In Panel A, county-years whose banks filed no balance-sheet statement are excluded from Columns 2 through 5; in Panel B, no balance-sheet aggregates are available for 1863 and deposits are unavailable for 1906 through 1914. *Slave Share*$_i$ is the standardized share of the county population enslaved in 1860. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Banks	(2) Total Assets	(3) Total Deposits	(4) Total Loans	(5) Total Capital
Panel A: State-Chartered Banks, 1820–1860					
Slave Share$_i$	0.639***	1.342**	1.299*	1.257**	1.504**
	(0.266)	(0.865)	(1.106)	(0.899)	(0.913)
Observations	40,877	40,387	40,387	40,387	40,387
Counties	997	997	997	997	997
Mean of Dependent Variable	0.06	94,404	13,962	55,232	43,213
Year FE	Yes	Yes	Yes	Yes	Yes
State FE	No	No	No	No	No
Panel B: Nationally Chartered Banks, 1863–1933					
Slave Share$_i$	-0.408***	-0.577***	-0.584***	-0.576***	-0.553***
	(0.038)	(0.102)	(0.106)	(0.098)	(0.082)
Observations	69,790	69,698	60,725	69,692	69,695
Counties	997	997	997	997	997
Mean of Dependent Variable	0.59	789,985	509,953	450,187	80,773
Year FE	Yes	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes	Yes
1860 Controls	Yes	Yes	Yes	Yes	Yes

Table 3. Effect of the 1860 Slave Share on State- and Nationally Chartered Banks after Emancipation

This table reports the relationship between the 1860 slave share and chartered banking before and after emancipation, by charter type. In Columns 1 and 2 the specification is $E\big[\mathit{Banks}_{i,t} \,\big|\, \mathit{Slave\ Share}_i, \mathbf{X}_i, \gamma_i, \tau_t\big] = \exp\big(\beta\, \mathit{Slave\ Share}_i \times \mathit{Post\text{-}1865}_t + \gamma_i + \tau_t\big)$, with the any-bank column estimated by the linear analogue. Columns 3 and 4 carry state and year effects in place of the county effects and exclude the years before 1863. Subscript i represents the county and t the year; $\mathit{Post\text{-}1865}_t$ equals one in years after 1865. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. The counts come from the Weber census for 1820–1860, when state charters were the only bank charters, and from the Rand McNally directories, which name each bank's charter, in the 23 edition years from 1879 through 1921; no state-charter measure exists for 1861–1878. In Columns 1 and 3 the outcome is the number of banks of that charter type; in Columns 2 and 4 it is an indicator equal to one if the county has at least one such bank. $\mathit{Slave\ Share}_i$ is the standardized share of the county population enslaved in 1860. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section, entering as products with $\mathit{Post\text{-}1865}_t$. Entries in the bank-count columns report $e^{\beta}-1$, the percentage change implied by each coefficient; entries in the any-bank columns are changes in probability. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
	State Charters		National Charters	
	Banks	Any Bank	Banks	Any Bank
Slave Share$_i$ × Post-1865$_t$	-0.513***	-0.031**	-0.407***	-0.127***
	(0.101)	(0.012)	(0.039)	(0.018)
Observations	61,696	63,808	22,931	63,808
Counties	964	997	997	997
Mean of Dependent Variable	0.81	0.24	0.75	0.13
County FE	Yes	Yes	No	No
State FE	No	No	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
1860 Controls × Post	Yes	Yes	Yes	Yes

Table 4. Bank Entry and Exit Rates in High-Slavery and Low-Slavery Counties

This table reports bank entry and exit rates in high-slavery and low-slavery counties, and the difference between them. Each rate is $R_g = 100 \sum_{i \in g} y_i / \sum_{i \in g} n_i$, where y_i is the county's number of events and n_i is the county's exposure; the Difference row reports $R_{\text{high}}/R_{\text{low}} - 1$, the percentage difference between the two groups. Subscript i represents the county and g the group of counties. Columns 1 and 2 use the annual records of the Office of the Comptroller of the Currency, which cover nationally chartered banks and begin in 1864. Column 3 uses the Federal Deposit Insurance Corporation Summary of Deposits, which covers all insured institutions and begins in 1987; a bank is present in a county in a year if it operates at least one branch there. Both sources are described in Section 3. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. High-slavery counties are the 498 counties whose 1860 slave share is at or above the sample median of 0.328, and low-slavery counties are the 499 counties below it. In Columns 1 and 2 each bank is assigned to the county of the city in its OCC record, and banks whose city maps to more than one county are excluded. Column 1 covers 1864 through 1899, Column 2 covers 1900 through 1932, and Column 3 covers 1988 through 2024. In Panel A, y_i is the number of banks whose first year in the county falls in the column's years and n_i is the county's number of years, so the entry rate is openings per 100 county-years. In Panel B, y_i is the number of banks whose last year in the county falls in the column's years and n_i is the county's number of bank-years over the same years lagged by one, so the exit rate is the percentage of banks present in a year that are gone by the next. Banks observed in the final year of a source are right-censored and are not counted as exits. Observations reports the denominator of each column's rate, and Counties reports the number of counties with a positive denominator. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) 1864–1899	(2) 1900–1932	(3) 1988–2024
Panel A: Entry Rate			
Low-Slavery Counties	1.843	5.806	60.721
High-Slavery Counties	1.322	3.426	43.336
Difference	-0.283***	-0.410***	-0.286***
	(0.106)	(0.050)	(0.055)
Observations	35,892	32,901	36,889
Counties	997	997	997
Panel B: Exit Rate			
Low-Slavery Counties	2.875	3.353	6.815
High-Slavery Counties	2.602	3.488	5.994
Difference	-0.095	0.040	-0.120***
	(0.149)	(0.065)	(0.026)
Observations	6,623	32,538	283,845
Counties	251	652	995

Table 5. Effect of the 1860 Slave Share on Reported Wealth across Emancipation

This table reports the relationship between the 1860 slave share and the change in reported wealth across emancipation. The specification, estimated separately for each outcome and panel, is $E\big[Y_{i,t} \,\big|\, \textit{Slave Share}_i, \mathbf{X}_i, \alpha_i, \delta_{s(i)}\big] = \exp\big(\beta\, \textit{Slave Share}_i \times \textit{Post-1865}_t + \mathbf{X}_i' \times \textit{Post-1865}_t\, \mathbf{\Gamma} + \alpha_i + \delta_{s(i)} \times \textit{Post-1865}_t\big)$, so each unit is compared with its own 1860 wealth. Subscript i represents the unit, t the Census year, and s the state. The sample is adults aged 20 and older enumerated in the 1860 and 1870 population Censuses of the eleven former Confederate states, aggregated to 668 units of counties covering the same ground in both Census years. Panel A sums each outcome over white adults. Panel B sums each outcome over all free adults in 1860, the population for which the Census recorded wealth that year, and over every adult in 1870. In Column 1 the outcome is the sum of reported real and personal estate. In Column 2 the outcome is reported real estate, the value of real property including a house, a town lot, a store, or farm land, reported at full value even where mortgaged or under lien. In Column 3 the outcome is reported personal estate, the value of all property other than real property, including stocks, bonds, mortgages, notes, livestock, plate, jewels, and furniture; in 1860 it also includes the reported legal value assigned to enslaved people. Dollar amounts are nominal. *Slave Share*$_i$ is the standardized share of the population enslaved in 1860, aggregated from the county measure using 1860 population weights. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section, aggregated to the unit. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the unit level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Real and Personal Estate	(2) Real Estate	(3) Personal Estate
Panel A: White Adults			
Slave Share$_i$ × Post-1865$_t$	-0.300***	-0.203***	-0.369***
	(0.044)	(0.051)	(0.052)
Observations	1,336	1,336	1,336
Units	668	668	668
Mean of Dependent Variable	6,587,830	3,060,199	3,527,631
Panel B: All Adults			
Slave Share$_i$ × Post-1865$_t$	-0.292***	-0.201***	-0.350***
	(0.045)	(0.052)	(0.053)
Observations	1,336	1,336	1,336
Units	668	668	668
Mean of Dependent Variable	6,661,834	3,097,793	3,564,041
Unit FE	Yes	Yes	Yes
State × Post FE	Yes	Yes	Yes
1860 Controls × Post	Yes	Yes	Yes

Table 6. Effect of the 1860 Slave Share and Sherman's March on Number of Banks, by Decade

This table reports decade-by-decade county cross sections of the number of banks on the 1860 slave share and the Sherman corridor together: within each decade, $E\big[Banks_{i,t}\big] = \exp\big(\beta\ Slave\ Share_i + \theta\ Corridor_i + \lambda\ Slave\ Share_i \times Corridor_i + \mathbf{X}_i'\boldsymbol{\Gamma} + \tau_t\big)$, pooling the decade's available years with year effects. β is the effect of the slave share outside the corridor, and $\beta + \lambda$ the effect inside it. Subscript i represents the county and t the year. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls; the corridor indicator marks the counties on Sherman's 1864–65 march path through Georgia and the Carolinas, with the endpoint cities excluded. The outcome is the number of chartered commercial banks in the county, taken from the state-bank Census for 1820–1860 and from the Rand McNally directories in the edition years 1879–1921, excluding the 1905, 1915, 1917, and 1918 editions. Column headings give the years each cross section pools. *Slave Share*$_i$ is the share of the county population enslaved in 1860, standardized on the sample, so each coefficient is the change for a one-standard-deviation increase. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
	Number of Banks										
	Before the March					After the March					
	1820s	1830s	1840s	1850s	1860	1879	1880s	1890s	1900s	1910s	1920s
Slave Share$_i$	0.689	1.794***	1.363***	0.426*	0.365	-0.382***	-0.397***	-0.427***	-0.283***	-0.300***	-0.281***
	(0.541)	(0.656)	(0.548)	(0.292)	(0.289)	(0.082)	(0.057)	(0.039)	(0.030)	(0.028)	(0.027)
Corridor$_i$	0.163	1.776	1.805*	1.368*	0.992	0.353	-0.069	-0.371	0.178	0.163	0.138
	(0.909)	(1.842)	(1.650)	(1.091)	(1.213)	(0.741)	(0.486)	(0.181)	(0.121)	(0.120)	(0.107)
Slave Share$_i$ × Corridor$_i$	-0.936***	-0.833***	-0.765**	-0.598**	-0.668**	-0.436	-0.022	0.694***	0.031	0.072	0.106
	(0.042)	(0.083)	(0.133)	(0.179)	(0.181)	(0.239)	(0.379)	(0.336)	(0.107)	(0.107)	(0.101)
Observations	9,970	9,970	9,970	9,970	997	997	3,988	1,994	3,988	5,982	1,994
Counties	997	997	997	997	997	997	997	997	997	997	997
Mean of Dependent Variable	0.03	0.06	0.05	0.09	0.10	0.25	0.35	0.96	2.84	4.43	5.12
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
1860 Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Table 7. Effect of Boll Weevil Arrival on the Number of Banks, by High-Cotton, Sugar, and High-Slavery Status

This table reports the weevil table's specification with binary groups in place of the continuous intensities: in each panel, $E\big[\mathit{Banks}_{i,t}\big] = \exp\big(\sum_b \big[\alpha_b W^b_{i,t} + \beta_b W^b_{i,t} \times \mathit{Crop}_i + \gamma_b W^b_{i,t} \times \mathit{High\text{-}Slavery}_i + \delta_b W^b_{i,t} \times \mathit{Crop}_i \times \mathit{High\text{-}Slavery}_i\big] + \gamma_i + \tau_t\big)$, where Crop_i is High-Cotton in Panel A and Sugar in Panel B, $W^b_{i,t}$ equals one if year t falls b years relative to the weevil's arrival in county i, the bins are those in the column heads, and the four years before arrival are the reference period. Subscript i represents the county and t the year. The sample is the weevil-zone counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls, which the county effects absorb. $\mathit{High\text{-}Slavery}_i$ equals one if the county's 1860 slave share is at or above 0.328 (349 of the 634 sample counties); $\mathit{High\text{-}Cotton}_i$ equals one if 1900 cotton intensity is above the median among cotton-growing counties (307 counties); Sugar_i equals one if the county produced cane sugar in 1860 (138 counties). Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
	Number of Banks				
	Before the Weevil		After the Weevil		
	10+	5–9	0–4	5–9	10+
Panel A: High-Cotton					
$\text{Weevil}_{i,t}$	-0.062	-0.026	-0.080*	-0.158**	-0.181
	(0.066)	(0.033)	(0.041)	(0.059)	(0.105)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i$	-0.050	0.055	0.046	0.117	0.215*
	(0.105)	(0.054)	(0.055)	(0.081)	(0.140)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	-0.031	-0.116***	0.044	0.129*	0.126
	(0.084)	(0.034)	(0.066)	(0.081)	(0.160)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i \times \text{High-Slavery}_i$	0.143	0.049	-0.072	-0.233***	-0.224
	(0.160)	(0.066)	(0.072)	(0.071)	(0.125)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
Panel B: Sugar					
$\text{Weevil}_{i,t}$	-0.098*	-0.024	-0.044	-0.088**	-0.045
	(0.048)	(0.029)	(0.028)	(0.041)	(0.068)
$\text{Weevil}_{i,t} \times \text{Sugar}_i$	0.132	0.044	-0.126	-0.170	-0.477
	(0.187)	(0.061)	(0.093)	(0.116)	(0.216)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	0.073	-0.051	-0.029	-0.097**	-0.070
	(0.077)	(0.033)	(0.034)	(0.041)	(0.059)
$\text{Weevil}_{i,t} \times \text{Sugar}_i \times \text{High-Slavery}_i$	-0.172	-0.073	0.149	0.239	0.676
	(0.175)	(0.068)	(0.131)	(0.183)	(0.715)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
County FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes

Table 8. Effect of Boll Weevil Arrival on the Number of Banks, by Charter Type

This table reports the weevil table's binary specification estimated separately on state-chartered and nationally chartered numbers of banks: in each panel, $E[\mathit{Banks}_{i,t}] = \exp\big(\sum_b [\alpha_b W^b_{i,t} + \beta_b W^b_{i,t} \times \mathit{Crop}_i + \gamma_b W^b_{i,t} \times \mathit{High\text{-}Slavery}_i + \delta_b W^b_{i,t} \times \mathit{Crop}_i \times \mathit{High\text{-}Slavery}_i] + \gamma_i + \tau_t\big)$, where Crop_i is High-Cotton in Panels A and B and Sugar in Panels C and D, $W^b_{i,t}$ equals one if year t falls b years relative to the weevil's arrival in county i, the bins are those in the column heads, and the four years before arrival are the reference period. In Panels A and C the outcome counts the county's state-chartered banks; in Panels B and D its nationally chartered banks; both counts are from the Rand McNally directories, which name each bank's charter. Subscript i represents the county and t the year. The sample is the weevil-zone counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls, which the county effects absorb. $\mathit{High\text{-}Slavery}_i$ equals one if the county's 1860 slave share is at or above 0.328; $\mathit{High\text{-}Cotton}_i$ equals one if 1900 cotton intensity is above the median among cotton-growing counties; Sugar_i equals one if the county produced cane sugar in 1860. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
	Number of Banks				
	Before the Weevil		After the Weevil		
	10+	5–9	0–4	5–9	10+
Panel A: High-Cotton, State Charters					
$\text{Weevil}_{i,t}$	0.006	-0.026	-0.099***	-0.200***	-0.125
	(0.061)	(0.032)	(0.035)	(0.054)	(0.102)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i$	-0.030	0.025	0.015	0.331***	0.491***
	(0.124)	(0.059)	(0.065)	(0.118)	(0.184)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	-0.067	-0.082**	0.127*	0.161*	0.007
	(0.078)	(0.039)	(0.071)	(0.090)	(0.136)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i \times \text{High-Slavery}_i$	0.267	0.068	-0.123	-0.378***	-0.357***
	(0.201)	(0.078)	(0.077)	(0.069)	(0.108)
Observations	11,913	11,913	11,913	11,913	11,913
Counties	627	627	627	627	627
Mean of Dependent Variable	2.36	2.36	2.36	2.36	2.36
Panel B: High-Cotton, National Charters					
$\text{Weevil}_{i,t}$	-0.199*	-0.002	0.048	0.100	-0.025
	(0.101)	(0.065)	(0.097)	(0.124)	(0.180)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i$	-0.216	0.022	0.136	-0.015	0.079
	(0.124)	(0.082)	(0.117)	(0.112)	(0.174)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	0.009	-0.234***	-0.256**	-0.084	0.059
	(0.158)	(0.065)	(0.097)	(0.132)	(0.277)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i \times \text{High-Slavery}_i$	0.120	0.125	0.169	-0.013	-0.077
	(0.240)	(0.125)	(0.181)	(0.163)	(0.263)
Observations	8,360	8,360	8,360	8,360	8,360
Counties	440	440	440	440	440
Mean of Dependent Variable	1.21	1.21	1.21	1.21	1.21
County FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes

	(1)	(2)	(3)	(4)	(5)
	Number of Banks				
	Before the Weevil		After the Weevil		
	10+	5–9	0–4	5–9	10+
Panel C: Sugar, State Charters					
$\text{Weevil}_{i,t}$	-0.035	-0.036	-0.088***	-0.071	0.105
	(0.058)	(0.032)	(0.032)	(0.056)	(0.095)
$\text{Weevil}_{i,t} \times \text{Sugar}_i$	0.160	0.071	-0.074	-0.216*	-0.462
	(0.133)	(0.054)	(0.078)	(0.108)	(0.206)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	0.138*	-0.006	-0.014	-0.179***	-0.239***
	(0.083)	(0.039)	(0.042)	(0.051)	(0.065)
$\text{Weevil}_{i,t} \times \text{Sugar}_i \times \text{High-Slavery}_i$	-0.293**	-0.117*	0.132	0.386**	0.679
	(0.125)	(0.063)	(0.108)	(0.207)	(0.665)
Observations	11,913	11,913	11,913	11,913	11,913
Counties	627	627	627	627	627
Mean of Dependent Variable	2.36	2.36	2.36	2.36	2.36
Panel D: Sugar, National Charters					
$\text{Weevil}_{i,t}$	-0.286***	-0.012	0.179**	0.142*	0.126
	(0.064)	(0.049)	(0.076)	(0.091)	(0.124)
$\text{Weevil}_{i,t} \times \text{Sugar}_i$	0.198	0.060	-0.234	-0.116	-0.533*
	(0.405)	(0.157)	(0.137)	(0.169)	(0.213)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	-0.010	-0.179***	-0.151*	-0.103	-0.020
	(0.126)	(0.056)	(0.072)	(0.075)	(0.106)
$\text{Weevil}_{i,t} \times \text{Sugar}_i \times \text{High-Slavery}_i$	0.008	0.030	0.120	-0.029	0.634
	(0.380)	(0.168)	(0.230)	(0.218)	(0.829)
Observations	8,360	8,360	8,360	8,360	8,360
Counties	440	440	440	440	440
Mean of Dependent Variable	1.21	1.21	1.21	1.21	1.21
County FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes

Table 9. Effect of the Gold Standard Act of 1900 on Nationally and State-Chartered Banks in Small-Town Counties

This table reports the relationship between the 1860 slave share and nationally and state-chartered banking in Small-Town counties before and after 1900. The specification is $E\big[\,\mathit{Banks}_{i,t}\,\big|\,\cdot\,\big] = \exp\big(\beta_1\,\mathit{Small\text{-}Town}_i + \beta_2\,\mathit{Small\text{-}Town}_i \times \mathit{Post\text{-}1900}_t + \beta_3\,\mathit{Slave\ Share}_i + \beta_4\,\mathit{Slave\ Share}_i \times \mathit{Post\text{-}1900}_t + \beta_5\,\mathit{Small\text{-}Town}_i \times \mathit{Slave\ Share}_i + \beta_6\,\mathit{Small\text{-}Town}_i \times \mathit{Post\text{-}1900}_t \times \mathit{Slave\ Share}_i + \mathbf{X}_i'\boldsymbol{\Gamma}_t + \sigma_s + \tau_t\big)$, where $\boldsymbol{\Gamma}_t$ gives each control its own coefficient before and after 1900. Columns 1 through 3 use every year from 1888 through 1912 excluding 1900; Column 4 uses the years with a Rand McNally edition, excluding the 1905 edition. Subscript i represents the county, t the year, and s the state; $\mathit{Post\text{-}1900}_t$ equals one in years after 1900. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls whose largest place in 1900 had fewer than 2,500 inhabitants (Small-Town counties) or 4,000 to 9,999 inhabitants (control counties); counties whose largest place had 2,500 to 3,999 inhabitants or 10,000 or more are excluded. Place sizes are county aggregates of the size-of-place codes of the 1900 full-count Census microdata of IPUMS USA (Ruggles et al., 2024). In Columns 1 through 3 the outcomes are the nationally chartered banks of the Comptroller's records as digitized by Correia, Luck, and Verner (2025); in Column 4 they are the state-chartered listings of the Rand McNally directories, which name each bank's charter. In Column 1 the outcome is the number of nationally chartered banks; in Columns 2 and 3 it is total national-bank capital and total national-bank assets, in nominal dollars; in Column 4 it is the number of state-chartered banks. $\mathit{Small\text{-}Town}_i$ equals one if the county's largest place in 1900 had fewer than 2,500 inhabitants. $\mathit{Slave\ Share}_i$ is the standardized share of the county population enslaved in 1860. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section, entering separately before and after 1900. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
	National Charters			State Charters
	Number of Banks	Capital	Assets	Number of Banks
Small-Town$_i$	-0.858***	-0.915***	-0.918***	-0.461***
	(0.026)	(0.017)	(0.017)	(0.074)
Small-Town$_i$ × Post-1900$_t$	1.468***	1.160***	0.798***	0.487***
	(0.363)	(0.322)	(0.265)	(0.214)
Slave Share$_i$	-0.071	0.138	0.124	-0.271**
	(0.134)	(0.196)	(0.192)	(0.094)
Slave Share$_i$ × Post-1900$_t$	-0.159*	-0.180*	-0.183*	0.004
	(0.084)	(0.093)	(0.089)	(0.141)
Small-Town$_i$ × Slave Share$_i$	-0.428***	-0.429***	-0.434***	0.066
	(0.092)	(0.105)	(0.117)	(0.122)
Small-Town$_i$ × Post-1900$_t$ × Slave Share$_i$	0.418***	0.329**	0.428**	0.062
	(0.189)	(0.179)	(0.209)	(0.136)
Observations	18,432	18,419	18,419	6,912
Counties	768	768	768	768
Mean of Dependent Variable	0.46	30,053	146,871	2.01
1860 Controls	Yes	Yes	Yes	Yes
1860 Controls × Post	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

Table 10. Effect of the Gold Standard Act on National Bank Entry, by Capital Class

This table reports estimates of the effect of the Gold Standard Act of 1900 on national bank entry, by the capital class of the entering bank. Each county-year enters twice, once for each capital class c: the Act class, national banks entering with \$25,000 to \$49,999 of paid-in capital, and the large class, national banks entering with \$50,000 or more. Act Class$_c$ equals one for the first. Act-class observations are zero everywhere before 1900 and are excluded for that class. Subscript i represents the county, t the year, and c the capital class. The county-year data are from the Office of the Comptroller of the Currency, merged with the 1860 Census (see the Data section for variable and sample construction details). The outcome variable in Column 1 is the number of national banks entering the county in the year within the capital class, and in Column 2 an indicator for any such entry. Small-Town$_i$ equals one for counties whose largest place had fewer than 2,500 inhabitants and zero for counties whose largest place had 4,000 to 9,999; counties nearer the 3,000 threshold and counties containing larger places are excluded. Slave Share$_i$ is the share of the county population enslaved in 1860, standardized on the sample, so each coefficient is the change for a one-standard-deviation increase. Post-1900$_t$ equals one from 1901. The controls are the same set of 1860 county covariates as in the Gold Standard Act table, entered both by period and by capital class. Entries in Column 1 report $e^{\beta} - 1$, the percentage change implied by each coefficient; entries in Column 2 are changes in probability. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Number of Entering Banks	(2) Any Entering Bank
Small-Town$_i$	-0.858***	-0.534***
	(0.027)	(0.042)
Small-Town$_i$ × Post-1900$_t$	0.416***	-0.078**
	(0.180)	(0.034)
Slave Share$_i$	-0.039	-0.051
	(0.135)	(0.040)
Slave Share$_i$ × Post-1900$_t$	-0.184**	-0.033
	(0.070)	(0.030)
Small-Town$_i$ × Slave Share$_i$	-0.419***	0.000
	(0.093)	(0.040)
Small-Town$_i$ × Post-1900$_t$ × Slave Share$_i$	0.319**	0.026
	(0.148)	(0.031)
Act Class$_c$ × Small-Town$_i$	5.184***	0.656***
	(1.369)	(0.050)
Act Class$_c$ × Slave Share$_i$	-0.386**	0.001
	(0.133)	(0.052)
Act Class$_c$ × Small-Town$_i$ × Slave Share$_i$	0.727***	0.002
	(0.364)	(0.048)
Observations	27,648	27,648
Counties	768	768
Mean of Dependent Variable	0.31	0.20
1860 Controls × Post	Yes	Yes
1860 Controls × Class	Yes	Yes
State × Class FE	Yes	Yes
Year × Class FE	Yes	Yes

Table 11. Effect of the 1860 Slave Share and Net Outmigration on the Number of Banks, 1940–1969

This table reports decade-by-decade county cross sections of the number of banks over the Great Migration's second wave: within each decade, $E\big[\mathit{Banks}_{i,t}\big] = \exp\big(\beta\,\mathit{Slave\ Share}_i + \mu\,\mathit{Net\ Outmigration}_{i,d} + \lambda\,\mathit{Slave\ Share}_i \times \mathit{Net\ Outmigration}_{i,d} + \mathbf{X}_i'\boldsymbol{\Gamma} + \tau_t\big)$, pooling the decade's years with year effects; within each pair of columns, the first carries year effects alone and the second adds state effects. β is the effect of the slave share at the mean outmigration rate, and $\beta + \lambda$ the effect where net outmigration runs one percentage point higher. Subscript i represents the county, t the year, and d the decade. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. $\mathit{Net\ Outmigration}_{i,d}$ is the county's net Black outmigration over the column's own decade as a share of its Black population at the decade's start, the negative of the net migration rate of Derenoncourt (2022), so positive values are net outflows. $\mathit{Slave\ Share}_i$ is the share of the county population enslaved in 1860, standardized on the sample, so its coefficients are per one standard deviation. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
	1940s		1950s		1960s	
	Number of Banks					
Slave Share$_i$	-0.243***	-0.225***	-0.230***	-0.213***	-0.353***	-0.335***
	(0.045)	(0.049)	(0.045)	(0.048)	(0.066)	(0.067)
Net Outmigration$_{i,d}$	-0.011***	-0.011***	-0.014***	-0.014***	-0.009***	-0.009***
	(0.002)	(0.002)	(0.002)	(0.002)	(0.003)	(0.003)
Slave Share$_i$ × Net Outmigration$_{i,d}$	-0.008***	-0.008***	-0.010***	-0.009***	-0.007***	-0.006***
	(0.001)	(0.001)	(0.002)	(0.002)	(0.002)	(0.002)
Observations	9,930	9,930	7,140	7,140	9,810	9,810
Counties	993	993	714	714	981	981
Mean of Dependent Variable	3.06	3.06	3.49	3.49	4.07	4.07
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
State FE	No	Yes	No	Yes	No	Yes
1860 Controls	Yes	Yes	Yes	Yes	Yes	Yes

Table 12. Effect of the 1860 Slave Share and the Confederate Culture Index on the Number of Banks, 1900–1969

This table reports decade-by-decade county cross sections of the number of banks on the 1860 slave share and the Confederate Culture Index, from the 1900s through the 1960s: within each decade, $E\big[Banks_{i,t}\big] = \exp\big(\beta\, Slave\ Share_i + \mu\, CCI_i + \lambda\, Slave\ Share_i \times CCI_i + \mathbf{X}_i'\boldsymbol{\Gamma} + \tau_t\big)$, pooling the decade's available years with year and state effects. Subscript i represents the county and t the year. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. CCI_i is the Confederate Culture Index of Bazzi, Fiszbein, and Ferrara (2023), a count from zero to four of whether the county has a Confederate memorial, a United Daughters of the Confederacy chapter by 1900, Klan presence, and a lynching after 1900, dated to the early 1900s. *Slave Share*$_i$ is the share of the county population enslaved in 1860, standardized on the sample, so its coefficients are per one standard deviation. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
	Number of Banks						
	1900s	1910s	1920s	1930s	1940s	1950s	1960s
Slave Share$_i$	-0.240***	-0.232***	-0.175***	-0.216***	-0.229***	-0.241***	-0.216***
	(0.054)	(0.048)	(0.048)	(0.054)	(0.054)	(0.058)	(0.069)
CCI$_i$	0.266***	0.238***	0.203***	0.336***	0.346***	0.375***	0.430***
	(0.029)	(0.024)	(0.022)	(0.028)	(0.028)	(0.031)	(0.039)
Slave Share$_i$ × CCI$_i$	-0.021	-0.020	-0.033*	-0.055***	-0.055**	-0.058**	-0.082**
	(0.021)	(0.018)	(0.017)	(0.020)	(0.021)	(0.025)	(0.031)
Observations	3,988	5,982	1,994	5,982	9,970	9,970	9,970
Counties	997	997	997	997	997	997	997
Mean of Dependent Variable	2.84	4.43	5.12	2.87	3.05	3.42	4.07
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
1860 Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Table 13. Effect of Intrastate Branching Deregulation on the Number of Banks, Branches, New Branches, and Deposits, by the 1960 Number of Banks and 1860 Slave Share, 1960–1994

This table reports estimates of $E[Y_{i,t}] = \exp(\beta_1\, \textit{Slave Share}_i + \beta_2\, \textit{Log 1960 Banks}_i + \beta_3\, \textit{Slave Share}_i \times \textit{Log 1960 Banks}_i + \beta_4\, \textit{Slave Share}_i \times \textit{Post}_{s,t} + \beta_5\, \textit{Log 1960 Banks}_i \times \textit{Post}_{s,t} + \beta_6\, \textit{Slave Share}_i \times \textit{Log 1960 Banks}_i \times \textit{Post}_{s,t} + \mathbf{X}'_{i,t}\boldsymbol{\Gamma} + \tau_{s,t})$ over 1960–1994, with state-by-year effects $\tau_{s,t}$, which absorb $\textit{Post}_{s,t}$, and the 1860 controls $\mathbf{X}_{i,t}$ entering split by period, as products with $1 - \textit{Post}_{s,t}$ and with $\textit{Post}_{s,t}$. Subscript i represents the county, s the state, and t the year. The sample is the counties of the eleven former Confederate states with the 1860 slave share, the full 1860 controls, and at least one insured bank in 1960. $\textit{Post}_{s,t}$ equals one from the year the state permits intrastate branching through merger and acquisition, with the reform years of Jayaratne and Strahan (1996); North Carolina and South Carolina permitted statewide branching in every year of the window, so $\textit{Post}_{s,t}$ equals one in all their years. In Column 1 the outcome is $\textit{Number of Banks}_{i,t}$, the insured banks counted at the headquarters county; in Column 2 it is $\textit{Branches}_{i,t}$, the branches active in the county in year t, from the National Information Center branch records, each branch counted from its opening through its closing year; in Column 3 it is $\textit{New Branches}_{i,t}$, the branches whose opening year is t in those records; in Column 4 it is $\textit{Total Deposits}_{i,t}$, the banks' deposits, counted at the headquarters county, in thousands of nominal dollars. $\textit{Log 1960 Banks}_i$ is the log of the county's 1960 number of insured banks, standardized on the sample, so its coefficients are per one standard deviation. $\textit{Slave Share}_i$ is the share of the county population enslaved in 1860, standardized on the sample, so its coefficients are per one standard deviation. The controls are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Number of Banks	(2) Branches	(3) New Branches	(4) Total Deposits
Slave Share$_i$	-0.006	-0.127***	-0.119*	-0.061
	(0.018)	(0.044)	(0.059)	(0.076)
Log 1960 Banks$_i$	1.258***	1.502***	1.635***	2.767***
	(0.029)	(0.086)	(0.133)	(0.168)
Slave Share$_i$ × Log 1960 Banks$_i$	-0.039***	0.006	-0.016	-0.032
	(0.014)	(0.024)	(0.038)	(0.039)
Slave Share$_i$ × Post$_{s,t}$	-0.066***	-0.032	-0.069	0.096
	(0.022)	(0.050)	(0.071)	(0.140)
Log 1960 Banks$_i$ × Post$_{s,t}$	-0.055***	-0.106***	-0.082**	0.307***
	(0.015)	(0.024)	(0.037)	(0.106)
Slave Share$_i$ × Log 1960 Banks$_i$ × Post$_{s,t}$	0.023*	-0.032	0.007	0.099*
	(0.013)	(0.023)	(0.034)	(0.062)
Observations	32,200	32,200	30,827	31,027
Counties	920	920	908	919
Mean of Dependent Variable	4.78	11.06	0.61	279,953
State × Year FE	Yes	Yes	Yes	Yes
1860 Controls	Yes	Yes	Yes	Yes
1860 Controls × Post	Yes	Yes	Yes	Yes

Table 14. Effect of Interstate Branching Deregulation on Banking Markets, by the 1960 Number of Banks and 1860 Slave Share, 1994–2024

This table reports estimates of $E[Y_{i,t}] = \exp(\beta_1\, \textit{Slave Share}_i + \beta_2\, \textit{Log 1960 Banks}_i + \beta_3\, \textit{Slave Share}_i \times \textit{Log 1960 Banks}_i + \beta_4\, \textit{Slave Share}_i \times \textit{Post}_{s,t} + \beta_5\, \textit{Log 1960 Banks}_i \times \textit{Post}_{s,t} + \beta_6\, \textit{Slave Share}_i \times \textit{Log 1960 Banks}_i \times \textit{Post}_{s,t} + \mathbf{X}'_{i,t}\boldsymbol{\Gamma} + \tau_{s,t})$ over 1994–2024, with state-by-year effects $\tau_{s,t}$, which absorb $\textit{Post}_{s,t}$, and the 1860 controls $\mathbf{X}_{i,t}$ entering split by period, as products with $1 - \textit{Post}_{s,t}$ and with $\textit{Post}_{s,t}$. Subscript i represents the county, s the state, and t the year. The sample is the counties of the eleven former Confederate states with the 1860 slave share, the full 1860 controls, and at least one insured bank in 1960. $\textit{Post}_{s,t}$ equals one from the first year the state maintains at most one of the four interstate-branching restrictions of Rice and Strahan (2010): 1995 for North Carolina and Virginia, 1999 for Texas, 2001 for Tennessee, and 2011 for Alabama, Florida, Georgia, Louisiana, and South Carolina; Arkansas and Mississippi never cross the threshold, so $\textit{Post}_{s,t}$ equals zero in all their years. $\textit{Log 1960 Banks}_i$ is the log of the county's 1960 number of insured banks, from the FDIC records at the headquarters county, standardized on the sample, so its coefficients are per one standard deviation. In Column 1 the outcome is $\textit{Banks Present}_{i,t}$, the institutions operating at least one branch in the county; in Column 2 it is $\textit{Branches}_{i,t}$, the branch offices; in Column 3 it is $\textit{New Branches}_{i,t}$, branches first observed in the county in year t, excluding 1987 because that year is the opening SOD baseline; in Column 4 it is $\textit{Total Deposits}_{i,t}$, branch deposits in thousands of nominal dollars; in Column 5 it is $\textit{Deposit HHI}_{i,t}$, the sum of squared deposit shares across institutions, multiplied by 10,000. All five outcomes are from the FDIC Summary of Deposits. $\textit{Slave Share}_i$ is the share of the county population enslaved in 1860, standardized on the sample, so its coefficients are per one standard deviation. The controls are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Banks Present	(2) Branches	(3) New Branches	(4) Total Deposits	(5) Deposit HHI
Slave Share$_i$	-0.121***	-0.157***	-0.149**	-0.199***	0.084**
	(0.037)	(0.051)	(0.062)	(0.068)	(0.034)
Log 1960 Banks$_i$	0.623***	1.383***	0.683***	2.113***	-0.269***
	(0.036)	(0.088)	(0.059)	(0.181)	(0.013)
Slave Share$_i$ × Log 1960 Banks$_i$	0.004	0.006	0.073**	0.021	-0.029*
	(0.018)	(0.027)	(0.032)	(0.038)	(0.016)
Slave Share$_i$ × Post$_{s,t}$	0.009	0.024	0.061	0.134	-0.013
	(0.043)	(0.067)	(0.080)	(0.155)	(0.032)
Log 1960 Banks$_i$ × Post$_{s,t}$	-0.016	-0.057	-0.025	0.133	0.050**
	(0.025)	(0.040)	(0.039)	(0.158)	(0.024)
Slave Share$_i$ × Log 1960 Banks$_i$ × Post$_{s,t}$	0.011	-0.023	-0.073**	0.011	-0.013
	(0.024)	(0.031)	(0.034)	(0.074)	(0.019)
Observations	28,520	28,520	28,520	28,520	28,506
Counties	920	920	920	920	920
Mean of Dependent Variable	8.13	25.25	0.52	2,047,866	3,110
State × Year FE	Yes	Yes	Yes	Yes	Yes
1860 Controls	Yes	Yes	Yes	Yes	Yes
1860 Controls × Post	Yes	Yes	Yes	Yes	Yes

Table 15. Effect of the 1860 Slave Share on Modern Banking Markets, 1987–2024

This table reports the relationship between the 1860 slave share and the modern county banking market. The specification, estimated separately for each outcome, is $E\big[Y_{i,t} \,\big|\, \textit{Slave Share}_i, \mathbf{X}_i, \tau_t\big] = \exp\big(\beta\, \textit{Slave Share}_i + \mathbf{X}_i'\boldsymbol{\Gamma} + \tau_t + \delta_{s(i)}\big)$. Subscript i represents the county, t the year, and s the state. The sample is the counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls. In Column 1 the outcome is the number of institutions operating at least one branch in the county; in Column 2, branch offices; in Column 3, total branch deposits in nominal dollars. In Column 4 the outcome is the distance in miles from the county's 2020 population centroid to the nearest geocoded branch in any county; branch coordinates cover 57 percent of branches in 1987 and coverage is complete from 2014. In Column 5 the outcome is the deposit Herfindahl–Hirschman index across chartered institutions, undefined where county deposits are zero. *Slave Share*$_i$ is the standardized share of the county population enslaved in 1860. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1) Banks	(2) Branches	(3) Deposits	(4) Distance to Branch	(5) Deposit HHI
Slave Share$_i$	-0.313***	-0.478***	-0.624***	0.184***	0.226***
	(0.048)	(0.061)	(0.094)	(0.066)	(0.039)
Observations	37,886	37,886	37,886	37,886	37,740
Counties	997	997	997	997	995
Mean of Dependent Variable	7.71	23.32	1,676,104	2.63	3,255
1860 Controls	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes	Yes

Table 16. Effect of the 1860 Slave Share and the 1960 Number of Banks on 2019 County Outcomes

This table reports cross-county ordinary least squares regressions of 2019 outcomes on the 1860 slave share, with state effects and the 1860 controls. Subscript i represents the county. Panel A carries the slave share alone. Panel B adds the county's log 1960 bank count and the product of the two. Both panels run on one sample per column. The outcomes come from the 2019 American Community Survey county file: *Log Household Income*$_i$ is the log of median household income, and the poverty, unemployment, and college rates are in percentage points, where the college rate is the share of adults holding a bachelor's degree. *Log 1960 Banks*$_i$ is the log of the county's 1960 insured bank count, from the FDIC records at the headquarters county. Both the slave share and the log 1960 bank count are standardized on the sample, so their coefficients are per one standard deviation. The sample is the counties of the eleven former Confederate states with the 1860 slave share, the full 1860 controls, the 2019 outcome, and at least one insured bank in 1960. Robust standard errors are in parentheses. *,** and ***denote significance at the 10, 5, and 1 percent levels, respectively.

	(1) Log Household Income	(2) Poverty Rate	(3) Unemployment Rate	(4) College Share
Panel A: The 1860 Slave Share Alone				
Slave Share$_i$	-0.042**	1.023**	0.473***	-0.454
	(0.017)	(0.398)	(0.154)	(0.375)
Panel B: Adding the 1960 Bank Count				
Slave Share$_i$	-0.030*	0.940**	0.417***	0.222
	(0.017)	(0.419)	(0.159)	(0.364)
Log 1960 Banks$_i$	0.033***	-0.211	-0.150*	1.839***
	(0.009)	(0.235)	(0.087)	(0.191)
Slave Share$_i$ × Log 1960 Banks$_i$	-0.001	0.171	0.005	0.111
	(0.009)	(0.243)	(0.090)	(0.173)
Observations	920	920	920	920
R-squared	0.311	0.283	0.232	0.309
Mean of Dependent Variable	10.76	18.04	6.27	12.80
1860 Controls	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes

Table 17. Effect of Moving across Banking Markets on Consumer Credit Outcomes

This table reports pooled post-move estimates from the movers specification of Equation (6), for one-time cross-county movers within the eleven former Confederate states in the consumer credit panel, 2004–2020, with a ten percent sample of people who do not move. Each cell is a separate regression with person, year, and five-year age-bin fixed effects. Observations in the two years straddling the move are dropped, so the estimates compare two or more years before the move with one or more years after. Column 1 lets the post-move change vary with the destination-minus-origin difference in the standardized 1860 slave share; for the dollar and count outcomes the right-hand side of Equation (6) enters an exponential conditional-mean model and entries report $e^{\theta} - 1$, the percentage change implied by each coefficient; the credit score is in points and the indicator outcomes in percentage points. Column 2 lets the post-move change vary with the destination-minus-origin difference in the mean outcome among people who do not move, in logs for the exponential conditional-mean outcomes, so entries are the share of the cross-county difference movers acquire after the move. County means require at least fifty people who do not move. The bankcard limit is the total credit amount on open revolving bankcards; revolving credit covers all open revolving trades, including bankcards, retail store cards, and home-equity lines; the total limit is the credit amount on all open trades; mortgage credit is the credit amount on open mortgage-type trades; non-mortgage credit is the total minus mortgage credit, bounded below at zero; auto credit is the credit amount on auto-loan trades; new auto loans count auto loans or leases opened in the last twelve months; auto inquiries count credit inquiries for auto financing in the last twelve months. Standard errors clustered by origin and destination county are reported in parentheses in the least-squares specifications, and by origin county in the exponential-conditional-mean specifications. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	Move Dose: Δ Slave Share (+1 SD)		Convergence Share of Dest.−Origin Gap	
	(1)	N	(2)	N
Credit Score (points)	0.92**	1,835,024	0.019	1,835,024
	(0.44)		(0.016)	
Bankcard Credit Limit	1.74	1,545,202	0.034	1,545,202
	(1.18)		(0.026)	
Revolving Credit	0.44	1,632,716	0.090***	1,632,716
	(1.60)		(0.031)	
Total Credit Limit	0.35	1,730,102	0.215***	1,730,102
	(1.99)		(0.029)	
Mortgage Credit	−0.05	951,538	0.248***	951,538
	(2.75)		(0.028)	
Non-Mortgage Credit	0.89	1,725,017	0.069***	1,725,017
	(0.90)		(0.023)	
Open Trades	0.81	1,735,260	0.137***	1,735,260
	(0.72)		(0.022)	
Trades Opened, Last 12 Months	−0.75	1,640,643	0.190***	1,640,643
	(0.59)		(0.036)	
Has a Bankcard (pp)	0.28	1,835,024	0.040*	1,835,024
	(0.21)		(0.022)	
Has a Mortgage (pp)	0.53	1,835,024	0.168***	1,835,024
	(0.45)		(0.027)	
Has an Auto Loan (pp)	−0.02	1,835,024	0.136***	1,835,024
	(0.25)		(0.026)	
Auto Credit	−0.34	1,171,723	0.166***	1,171,723
	(0.74)		(0.025)	
New Auto Loans, 12mo	−0.97	1,083,100	0.169***	1,083,100
	(0.75)		(0.034)	
Auto Inquiries, 12mo	−2.61*	896,744	0.280***	896,744
	(1.50)		(0.046)	
Inquiries, Last 12 Months	−2.21***	1,653,629	0.213***	1,653,629
	(0.50)		(0.025)	
Credit-Union Trades	−0.39	765,102	0.119***	765,102
	(0.90)		(0.015)	
Person FE	Yes		Yes	
Year FE	Yes		Yes	
Age-Bin FE	Yes		Yes	

Appendix

Figure A.1. Effect of Boll Weevil Arrival on the Number of Banks, by High-Cotton and High-Slavery Status, Group-Time Estimator: Event Study

This figure plots the effect of the weevil's arrival on the number of banks in a county, estimated with the group-time estimator of Callaway and Sant'Anna (2021), which compares each arrival cohort only with counties the weevil had not reached. The estimator returns an average treatment effect rather than a product of indicators, so it is applied within each of the four groups formed by $\textit{High-Cotton}_i$ and $\textit{High-Slavery}_i$, which partition the counties. Panel A shows the High-Cotton × High-Slavery counties. Panel B shows the difference across the four groups, the counterpart of the product estimated in the weevil table, formed as the difference between the High-Cotton groups and the Low-Cotton groups of the High-Slavery-minus-Low-Slavery difference; because the four groups hold different counties and standard errors are clustered at the county level, the four variances are summed, and the High-Cotton × Low-Slavery group, which holds 82 counties, contributes most of the resulting width. The plotted points are changes in the number of banks: this estimator is additive, so its estimates are counts rather than the proportional changes reported elsewhere in the paper. Horizons are Rand McNally directory editions relative to arrival, because the estimator requires each cohort to be defined at an observed period and most arrival years are not edition years; a county's cohort is the first edition at or after its arrival. The edition before arrival is the reference, shown as the hollow marker, and the gray dotted line passes through it. Bars are 95 percent confidence intervals. The sample is the weevil-zone counties of the eleven former Confederate states with the 1860 slave share and the full 1860 controls; the comparison counties at each horizon are those the weevil had not reached, since every county in the zone is eventually reached. $\textit{High-Slavery}_i$ equals one if the county's 1860 slave share is at or above 0.328, and $\textit{High-Cotton}_i$ equals one if 1900 cotton intensity is above the median among cotton-growing counties. Counts are from the Rand McNally directories in the edition years from 1879 through 1921, excluding the 1905, 1915, 1917, and 1918 editions.

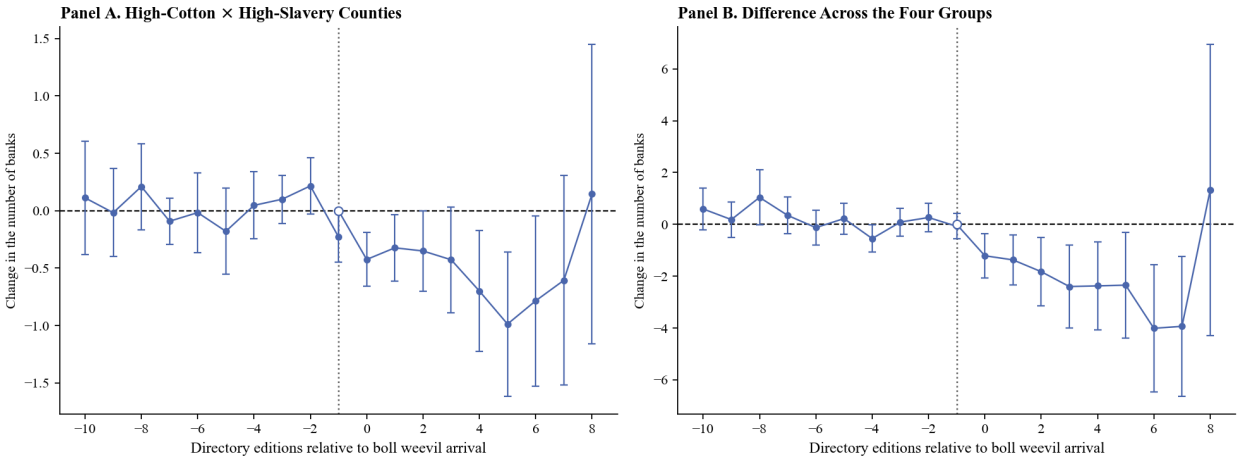


Figure A.2. Credit Scores Around a Move into and out of a High-Slavery County: Event Study

This figure plots the change in a mover's credit score by year relative to the move, separately for people who move into a high-slavery county and people who move out of one. High-slavery counties are the counties whose 1860 slave share is at or above the sample median of 0.328. Each series comes from one regression on the mover panel with person, year, and five year age bin effects and an indicator for each year relative to the move. The year before the move is the reference and is set to zero. Points are changes in credit score points, bars are 95 percent confidence intervals, and the gray dotted line marks the move. The sample is adults observed in the anonymized consumer credit files from 2004 through 2020 who change county exactly once within the eleven former Confederate states.

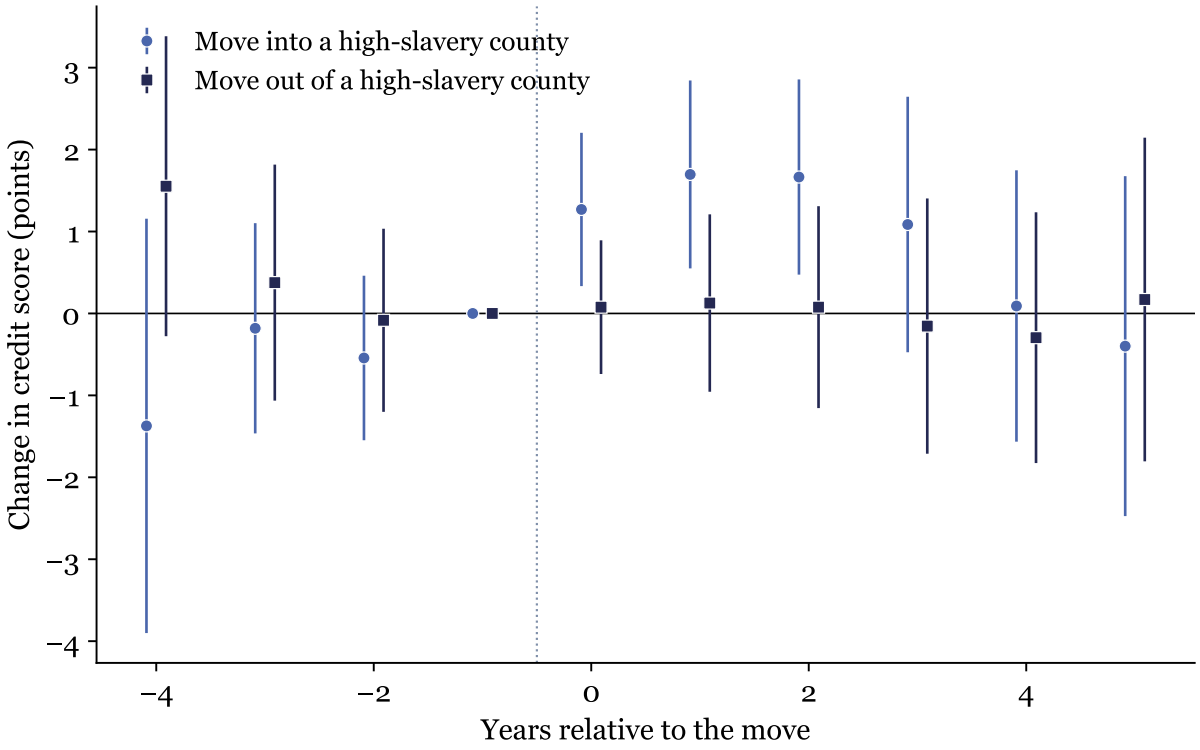


Table A.1. Slave States That Did Not Secede: Effect of the 1860 Slave Share on the Number of Banks

This table reports the relationship between the 1860 slave share and the number of banks after emancipation. The specification, estimated separately for each column, is $E\big[Banks_{i,t} \,\big|\, \textit{High-Slavery County}_i, \mathbf{X}_i, \delta_{s(i)}, \tau_t\big] = \exp\big(\beta\, \textit{High-Slavery County}_i + \mathbf{X}_i'\boldsymbol{\Gamma} + \delta_{s(i)} + \tau_t\big)$. Subscript i represents the county, t the year, and s the state. The sample is the 261 counties of Delaware, Kentucky, Maryland, and Missouri with the 1860 slave share and the full 1860 controls. Those four states held slaves in 1860 and did not join the Confederacy. In Columns 1 and 2 the outcome is the number of nationally chartered banks in the county, from the Office of the Comptroller of the Currency (OCC) call reports, for 1863–1899 and 1900–1933. In Columns 3 and 4 the outcome is the number of federally insured banks whose headquarters are in the county, from the Federal Deposit Insurance Corporation (FDIC), for 1934–1986 and 1987–2024. County-years with no bank are zeros. *High-Slavery County*$_i$ equals one if the share of the county population enslaved in 1860 was 0.328 or higher, and zero otherwise. The controls $\mathbf{X}_i$ are the 1860 county covariates of Acharya, Blackwell, and Sen (2016), defined in the Data section. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
	Number of Banks			
High-Slavery County$_i$	-0.447**	-0.338**	-0.355***	-0.290***
	(0.200)	(0.152)	(0.088)	(0.097)
Observations	9,657	8,874	13,833	9,918
Counties	261	261	261	261
Mean of Dep. Variable	0.56	1.35	5.34	3.12
1860 Controls	Yes	Yes	Yes	Yes
State & Year FE	Yes	Yes	Yes	Yes

Table A.2. Effect of Boll Weevil Arrival on the Number of Banks, by Cotton and Sugar Intensity and 1860 Slave Share

This table reports within-county estimates of the number of banks around the county-by-county arrival of the boll weevil, with the shock's products taken with cotton intensity in Panel A and with sugar intensity in Panel B. In each panel the specification is $E\big[Banks_{i,t}\big] = \exp\big(\sum_b \big[\alpha_b W^b_{i,t} + \beta_b W^b_{i,t} \times Crop_i + \gamma_b W^b_{i,t} \times Slave\ Share_i + \delta_b W^b_{i,t} \times Crop_i \times Slave\ Share_i\big] + \gamma_i + \tau_t\big)$, where $Crop_i$ is the panel's crop intensity, $W^b_{i,t}$ equals one if year t falls b years relative to the weevil's arrival in county i, the bins are those in the column heads, and the four years before arrival are the reference period. Subscript i represents the county and t the year. Both panels share one sample: the weevil-zone counties of the eleven former Confederate states with the 1860 slave share, both crop intensities, and the full 1860 controls, which the county effects absorb. $Cotton_i$ is the county's 1900 share of crop acreage planted in cotton, $Sugar_i$ the county's 1860 cane-sugar output per improved acre from the agricultural Census, and $Slave\ Share_i$ the share of the county population enslaved in 1860, each standardized on the sample, so coefficients are per one standard deviation. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
	Number of Banks				
	Before the Weevil		After the Weevil		
	10+	5–9	0–4	5–9	10+
Panel A: Cotton Intensity					
$\text{Weevil}_{i,t}$	-0.075**	-0.052**	-0.058**	-0.134***	-0.119*
	(0.035)	(0.020)	(0.025)	(0.037)	(0.066)
$\text{Weevil}_{i,t} \times \text{Cotton}_i$	-0.008	0.045**	0.021	0.033	0.076
	(0.047)	(0.020)	(0.023)	(0.032)	(0.050)
$\text{Weevil}_{i,t} \times \text{Slave Share}_i$	-0.016	-0.060***	0.005	-0.027	-0.018
	(0.037)	(0.017)	(0.021)	(0.026)	(0.045)
$\text{Weevil}_{i,t} \times \text{Cotton}_i \times \text{Slave Share}_i$	0.041	0.018	-0.034	-0.055*	-0.075
	(0.051)	(0.021)	(0.024)	(0.031)	(0.047)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
Panel B: Sugar Intensity					
$\text{Weevil}_{i,t}$	-0.070**	-0.044**	-0.064***	-0.141***	-0.097
	(0.034)	(0.020)	(0.021)	(0.032)	(0.057)
$\text{Weevil}_{i,t} \times \text{Sugar}_i$	-0.020	0.092***	-0.040***	-0.067***	-0.108***
	(0.050)	(0.015)	(0.011)	(0.014)	(0.034)
$\text{Weevil}_{i,t} \times \text{Slave Share}_i$	-0.026	-0.040**	-0.003	-0.044**	-0.041
	(0.030)	(0.016)	(0.016)	(0.019)	(0.026)
$\text{Weevil}_{i,t} \times \text{Sugar}_i \times \text{Slave Share}_i$	-0.219***	-0.047***	0.007	0.026**	0.047**
	(0.030)	(0.010)	(0.010)	(0.013)	(0.022)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
County FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes

Table A.3. Effect of Boll Weevil Arrival on the Number of Banks, by High-Cotton, Sugar, and High-Slavery Status, Newspaper Arrival Dates

This table repeats the weevil table's binary specification, dating arrival with the newspaper-based arrival years of Ferrara, Ha, and Walsh (2023) in place of the USDA records: in each panel, $E\big[\mathit{Banks}_{i,t}\big] = \exp\big(\sum_b \big[\alpha_b W^b_{i,t} + \beta_b W^b_{i,t} \times \mathit{Crop}_i + \gamma_b W^b_{i,t} \times \mathit{High\text{-}Slavery}_i + \delta_b W^b_{i,t} \times \mathit{Crop}_i \times \mathit{High\text{-}Slavery}_i\big] + \gamma_i + \tau_t\big)$, where Crop_i is High-Cotton in Panels A and C and Sugar in Panel B, $W^b_{i,t}$ equals one if year t falls b years relative to the weevil's newspaper-dated arrival in county i, the bins are those in the column heads, and the four years before arrival are the reference period. Panels A and B carry county and year effects. Panel C stacks the arrival cohorts: each cohort's dataset holds its treated counties and the counties whose newspaper arrival is at least ten years later, over the ten years before through nine years after arrival, with cohort-by-county and cohort-by-year effects; the pre-arrival window is the reference period, and the window contains no ten-plus post years, so only the first two post-arrival columns are filled. The main table's panel excluding arrivals through 1900 has no counterpart here: the newspaper arrival years run from 1901 through 1932, so no county's arrival precedes the 1900 cotton measure. Subscript i represents the county and t the year. The sample is the weevil-zone counties of the eleven former Confederate states with the 1860 slave share, the full 1860 controls, which the county effects absorb, and the newspaper arrival year. $\mathit{High\text{-}Slavery}_i$ equals one if the county's 1860 slave share is at or above 0.328; $\mathit{High\text{-}Cotton}_i$ equals one if 1900 cotton intensity is above the median among cotton-growing counties; Sugar_i equals one if the county produced cane sugar in 1860. Entries report $e^{\beta} - 1$, the percentage change implied by each coefficient. Standard errors clustered at the county level are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
	Number of Banks				
	Before the Weevil		After the Weevil		
	10+	5–9	0–4	5–9	10+
Panel A: High-Cotton					
$\text{Weevil}_{i,t}$	-0.057	-0.030	-0.207**	-0.209	-0.130
	(0.065)	(0.033)	(0.094)	(0.129)	(0.191)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i$	-0.030	0.018	0.131	0.207	0.214
	(0.083)	(0.046)	(0.157)	(0.212)	(0.255)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	-0.083	-0.061	0.389**	0.482**	0.349
	(0.064)	(0.038)	(0.178)	(0.257)	(0.307)
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i \times \text{High-Slavery}_i$	0.172	0.049	-0.307**	-0.377**	-0.326
	(0.126)	(0.063)	(0.105)	(0.124)	(0.170)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
Panel B: Sugar					
$\text{Weevil}_{i,t}$	-0.088*	-0.043	-0.117**	-0.060	0.037
	(0.047)	(0.029)	(0.045)	(0.056)	(0.083)
$\text{Weevil}_{i,t} \times \text{Sugar}_i$	0.195	0.119**	-0.251	-0.448	-0.560
	(0.138)	(0.056)	(0.255)	(0.256)	(0.286)
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	0.041	-0.004	-0.007	-0.031	-0.028
	(0.049)	(0.030)	(0.057)	(0.068)	(0.080)
$\text{Weevil}_{i,t} \times \text{Sugar}_i \times \text{High-Slavery}_i$	-0.175	-0.107*	0.537	0.893	1.041
	(0.122)	(0.059)	(0.529)	(0.900)	(1.351)
Observations	11,970	11,970	11,970	11,970	11,970
Counties	630	630	630	630	630
Mean of Dependent Variable	3.19	3.19	3.19	3.19	3.19
Panel C: High-Cotton, Stacked by Arrival Cohort					
$\text{Weevil}_{i,t}$	–	–	-0.184***	-0.145**	–
			(0.040)	(0.067)	
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i$	–	–	0.096	0.126	–
			(0.067)	(0.097)	
$\text{Weevil}_{i,t} \times \text{High-Slavery}_i$	–	–	0.211***	0.243**	–
			(0.079)	(0.137)	
$\text{Weevil}_{i,t} \times \text{High-Cotton}_i \times \text{High-Slavery}_i$	–	–	-0.234***	-0.274***	–
			(0.061)	(0.090)	
Observations	45,776	45,776	45,776	45,776	45,776
Counties	630	630	630	630	630
Mean of Dependent Variable	4.14	4.14	4.14	4.14	4.14

Table A.4. National Banks and Bank Capital by Town Size and High-Slavery Status, 1901–1912

This table reports annual means over 1901 through 1912 of the number of national banks and of total national-bank capital, in nominal dollars, from the Comptroller's records as digitized by Correia, Luck, and Verner (2025). Small-Town and control counties are defined in the Gold Standard Act table; High-Slavery counties are those with an 1860 slave share at or above 0.328. The Act class is the banks with entry capital of $25,000 to $49,999, where entry capital is the maximum capital over a bank's first two observed years; its shares are the class's share of the group's banks and of the group's capital.

	Counties	National Banks	Capital ($1,000s)	Act-Class Share of Banks	Act-Class Share of Capital
Small-Town, High-Slavery Counties	324	106	5,235	0.54	0.39
Small-Town, Low-Slavery Counties	353	219	9,874	0.56	0.39
Control, High-Slavery Counties	55	65	6,063	0.07	0.02
Control, Low-Slavery Counties	36	132	10,468	0.28	0.11

Table A.5. Effect of Moving across Banking Markets on Mortgage Credit and Credit Limits, with and without a House-Value Control

This table reports pooled post-move estimates from the movers specification of Equation (6), for one-time cross-county movers within the eleven former Confederate states in the consumer credit panel, 2004–2020, with a ten percent sample of people who do not move. Each column is a separate regression with person, year, and five-year age-bin fixed effects. Observations in the two years straddling the move are dropped, so the estimates compare two or more years before the move with one or more years after. Δ_p is the destination-minus-origin difference in the mean outcome among people who do not move, in logs for mortgage credit and the total credit limit and in levels for mortgage holding, so its coefficient is the share of the cross-county difference movers acquire after the move; county means require at least fifty people who do not move. $\Delta_p^{\text{House Value}}$ is the destination-minus-origin difference in the log county Zillow Home Value Index averaged over 2004 through 2020. Columns 1, 3, and 5 omit the house-value term and Columns 2, 4, and 6 add it. Mortgage credit is the credit amount on open mortgage-type trades and the total credit limit is the credit amount on all open trades; both are estimated by an exponential conditional-mean model with standard errors clustered by origin county. Has a Mortgage is an indicator for holding an open mortgage-type trade, estimated by least squares with standard errors clustered by origin and destination county. Entries are coefficients, not percentage changes. Standard errors are reported in parentheses. ***, **, and * represent statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
	Mortgage Credit		Total Credit Limit		Has a Mortgage	
$\text{Post}_{p,t} \times \Delta_p$	0.248^{***}	0.134^{***}	0.215^{***}	0.111^{***}	0.168^{***}	0.206^{***}
	(0.028)	(0.027)	(0.029)	(0.030)	(0.027)	(0.034)
$\text{Post}_{p,t} \times \Delta_p^{\text{House Value}}$		0.216^{***}		0.144^{***}		-0.019^{*}
		(0.048)		(0.032)		(0.010)
Observations	951,538	951,538	1,730,102	1,730,102	1,835,024	1,835,024
Person FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Age-Bin FE	Yes	Yes	Yes	Yes	Yes	Yes